PENGUIN FLAGSHIP NYC LLC

Date: _____

Name: Sundown Investments LLC
Address: _____
_____

RE: Investor Side Letter Rights

Dear Robert:

This letter confirms the agreement (the "**Agreement**") between the undersigned member (the "**Investor**") and People's Hospitality Inc. (the "**Manager**"), in its capacity as Manager of Penguin Flagship NYC LLC (the "**Company**"). Capitalized terms used but not defined herein shall have the meaning set forth in the Amended and Restated Operating Agreement of the Company, effective as of March 10, 2026 (as amended, the "**Operating Agreement**"), by and between the Manager, the Members (as defined in the Operating Agreement) and the other parties thereto.

1. IPCO Rights. In consideration of the Investor's purchase of 8 Class B Units of the Company pursuant to the Subscription Agreement of the Company dated on or about _____ (the "**Requisite Units**"), upon (i) the creation of a new entity for purposes of holding and owning title to the intellectual property associated with "People's" and the Company (the "**IPCO**") and (ii) the successful transfer of the "People's" intellectual property from an affiliate of IPCO to IPCO, Investor shall purchase Class A Units in IPCO with an aggregate purchase price of $50,000, being twenty five percent (25%) of the aggregate investment amount for the Requisite Units. Such Class A Units will subsequently be converted into either Class B or Class C Units (pursuant to the operating agreement of IPCO), which shall represent the Investor's membership interest in the IPCO (the "**IPCO Membership Interest**"). The price per unit of Investor's IPCO Membership Interest shall be equal to the price per unit paid by any other Members with respect to the IPCO, as determined by the manager of the IPCO.

2. Additional Investment. Upon the Company's receipt of an aggregate of $8,000,000 in investments (comprised of investments actually received in the Company and committed to IPCO (as defined below)) (the "**Investment Threshold**"), Investor shall have the option, but not the obligation, to purchase additional Class B Units in the Company with an aggregate purchase price of $200,000 and additional Class A Units with an aggregate purchase price of $50,000 on the same terms as the IPCO Membership Interest (the "**Additional Investment Option**"). For the avoidance of doubt, the Investor may not elect to invest in either the Company or the IPCO, the Additional Investment Option is solely the option to invest in both entities. Investor must provide the Company with written notification of its acceptance or rejection of the Additional Investment Option within thirty (30) days of Company's notifying Investor that the Investment Threshold has been met.

3. Further Assurances. The Company and the Investor agree to take all reasonable steps to execute and deliver such additional documents, instruments, conveyances and assurances

(including, without limitation, execution of a Subscription Agreement or other document evidencing the IPCO Membership Interest) similar and take such further actions as may be reasonably requested to carry out the provisions of this Agreement and give effect to the transactions contemplated by this Agreement.

4. Assignment. The rights provided in this Agreement may not be assigned or transferred by Investor without the Managing Member's written consent. Except as expressly set forth herein, this Agreement is for the sole benefit of the parties hereto and their respective successors and permitted assigns, and nothing herein, express or implied, is intended to or will confer upon any other person or entity any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement.

5. Counterparts. This Agreement may be executed in counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument. Counterparts may be delivered via facsimile, email (including pdf) or other transmission method and any counterpart so delivered shall be deemed to have been duly and validly delivered and be valid and effective for all purposes.

6. Governing Law. This Agreement shall be governed by, and construed in accordance with, the laws of the State of New York.

7. Termination. The rights described herein shall terminate and be of no further force or effect upon such time as Investor no longer owns the Requisite Units.

[Signature Page Follows]

IN WITNESS WHEREOF, the parties hereto have executed this letter agreement as of the date first above written.

Very truly yours,

PENGUIN FLAGSHIP NYC LLC
By: People's Hospitality Inc., its Managing Member
By:_____
Name: Emmet McDermott
Title: Chief Executive Officer

Acknowledged and agreed:

INVESTOR:

Sundown Investments LLC

By: _____
Name: Robert Burton
Title: _____

PENGUIN FLAGSHIP NYC LLC
SUBSCRIPTION AGREEMENT

THIS SUBSCRIPTION AGREEMENT (together with all schedules and exhibits hereto, this "**Subscription Agreement**") is dated effective as of _____ (the "**Effective Date**") by and between Penguin Flagship NYC LLC, a New York limited liability company ("**Company**"), and the undersigned subscriber ("**Subscriber**") (each, a "**Party**" and collectively, the "**Parties**").

1. **Subscription, Purchase, and Closing**.

(a) *Subscription.* Subject to the terms and conditions of this Subscription Agreement, Subscriber, intending to be legally bound, hereby irrevocably subscribes for and agrees to purchase 8 Class B Units of the Company (the "**Securities**") for an aggregate purchase price equal to $ 200,000 (the "**Purchase Price**") at a price of $25,000 / unit.

(b) *Acceptance of Subscription.* The Securities subscribed for hereby will not be deemed owned by Subscriber, nor will Subscriber be deemed a holder of securities of the Company, until:

(i) this Subscription Agreement has been executed by Subscriber and accepted by the Company;

(ii) the Purchase Price is paid in full in accordance with the terms and conditions hereof; and

(iii) Subscriber shall have executed an agreement agreeing to be bound by all the terms and conditions of the Company's limited liability company operating agreement, attached hereto and incorporated herein as ***Exhibit A*** (the "**Operating Agreement**").

This subscription, when signed by Subscriber, is irrevocable.

(c) *Purchase Price; Use of Funds.* Subject to the terms hereof, the Purchase Price shall be paid by Subscriber in United States Dollars and with immediately payable funds. The Company shall be permitted to use and/or spend all or part of the Purchase Price immediately upon the satisfaction of each of the following conditions: (i) Company's receipt of the Purchase Price from Subscriber pursuant to the terms of this Subscription Agreement; and (ii) the execution of this Subscription Agreement by Subscriber and the Company.

(d) *Units Will Not be Certificated.* The Securities will be evidenced by the Operating Agreement, and the Company shall not be required to issue any certificates representing the Securities.

2. **Agreement to be Bound; Joinder to Operating Agreement.** This Subscription Agreement is intended to be read and construed in conjunction with the Operating Agreement, attached hereto as ***Exhibit A***. Pursuant to Section 4.7 of the Operating

Agreement, the Manager (in each case, as defined in the Operating Agreement) hereby approves Subscriber as an Additional Member. The Manager shall take all necessary steps to effectuate Subscriber's addition as a Member of Company as set forth in the Operating Agreement and as is otherwise reasonable for such purpose. Accordingly, pursuant to the terms and conditions of this Subscription Agreement, it is hereby agreed that the execution of this Subscription Agreement by Subscriber shall constitute agreement to be bound by the terms and conditions hereof, and the terms and conditions of the Operating Agreement with respect to the Securities acquired hereunder with the same effect as if each of such separate but related agreements were separately signed, subject to the acceptance of this subscription by the Company. Capitalized terms used but not otherwise defined in this Subscription Agreement shall have the respective meanings ascribed to such terms in the Operating Agreement, defined below. In furtherance of the foregoing, by executing this Subscription Agreement, the Subscriber is hereby granting to the Manager a special power of attorney, making, constituting and appointing the Manager as the Subscriber's attorney in fact, with power and authority to act in the Subscriber's name and on the Subscriber's behalf to execute, acknowledge and swear to the execution, acknowledgment and filing of the Operating Agreement to be entered into with other Members (and in which the Manager will agree as attorney for the Subscriber to be bound by the terms of the Operating Agreement). In the event of any conflict between the Operating Agreement and any document filed pursuant to this power of attorney, the Operating Agreement shall control. The special power of attorney being granted hereby by the Subscriber: (i) is a special power of attorney coupled with an interest, is irrevocable, and shall survive the death, disability or legal incapacity of the Subscriber; and (ii) may be exercised by the Manager signing individually for each Member or for all of the Members executing any particular instrument.

3. **Representations, Warranties, and Agreement of Subscriber**. Subscriber hereby represents and warrants to the Company, and hereby covenants and agrees with the Company, as follows:

(a) *Authorization.* Subscriber has full power and authority to enter into this Subscription Agreement and to perform Subscriber's obligations hereunder. This Subscription Agreement, when executed by Subscriber, will be a valid and binding agreement of Subscriber, enforceable in accordance with its terms. If Subscriber is a trust or entity, Subscriber represents that the purchase of the Securities has been duly authorized by all necessary action on the part of the officers, fiduciaries, and/or beneficiaries of Subscriber, as applicable, and that the person signing this Subscription Agreement on behalf of Subscriber has been duly authorized by Subscriber to do so.

(b) *Understanding of Terms.* Subscriber, by reason of its or its representatives' knowledge and experience in financial and business matters, believes himself, herself, or itself capable of evaluating the merits and risks of this investment. Subscriber has carefully considered and has, to the extent Subscriber deems reasonably necessary, discussed with its professional legal, tax, and financial advisers (collectively, Subscriber's "**Advisors**") the suitability of an investment in the Company for Subscriber's particular tax and financial situation, and Subscriber has determined that the purchase of the Securities is a suitable investment given Subscriber's particular circumstances.

(c) *Securities Not Registered.* Subscriber has been advised and

acknowledges that the issuance of the Securities will not be registered under the Securities Act of 1933, as amended (the "**Act**"), in reliance upon the exemptions from registration promulgated thereunder, and based in part upon the representations, warranties, and agreements of Subscriber contained herein, and, therefore, are "restricted securities". Subscriber also acknowledges that the issuance of the Securities will not be registered under the securities laws of any state. Consequently, Subscriber agrees that the Securities cannot be resold unless they are registered under the Act and applicable state securities laws, or unless an exemption from such registration is available. Subscriber has been advised and acknowledges that the Company is under no obligation to register the Securities or to take any action necessary in order to make available any exemption for the transfer of Securities without registration. Further, Subscriber acknowledges that the transfer of the Securities is limited by the terms of the Operating Agreement. Therefore, no public market for the resale of any of the Securities currently exists, and no such market may ever exist. Subscriber agrees that it must bear the economic and financial risk of investment in the Securities for an indefinite period of time. Subscriber has been advised and acknowledges that no federal or state agency has made any finding or determination as to the fairness or merits of an investment in the Company and that no such agency has made any recommendation or endorsement whatsoever with respect to an investment.

(d) *Long-term Investment Purpose.* Subscriber is purchasing the Securities solely for Subscriber's own account and not as nominee for, representative of, or otherwise on behalf of any other person. Subscriber is purchasing the Securities with the intention of holding the Securities for investment, with no present intention of participating directly or indirectly in a subsequent public distribution of the Securities unless registered under the Act and applicable state securities laws, or unless an exemption from such registration requirement is available. Subscriber will not make any sale, transfer, or other disposition of the Securities in violation of state or federal law, or in violation of the transferability restrictions contained in the Operating Agreement.

(e) *Forward-Looking Statements.* Subscriber acknowledges that any estimates or forward-looking statements or projections included in any materials or information furnished to Subscriber or the Advisors in direct or indirect connection with the Securities (including the contents of this Subscription Agreement) were prepared by the Company in good faith, but necessarily involve numerous assumptions, risks, and uncertainties. These "forward-looking statements" may include words such as "believe," "expect," "anticipate," "intend," "plan," "estimate," "predict," "hope," "will," "should," "could," "may," "future," "potential," or the negatives of these words and similar expressions. The actual results and business of the Company or other conditions may differ materially from those contemplated by any forward-looking statements contained in this Subscription Agreement or in related offering documentation or materials. The Company cannot guarantee its future results or performance, or what future business conditions may be. Subscriber is hereby cautioned not to put any undue reliance on any forward-looking statement, whether contained in this Subscription Agreement or any other document(s) or material(s) previously distributed by the Company to Subscriber.

(f) *Inspection and Review.* Subscriber and its Advisors have been given access to and an opportunity to examine such documents, materials, and information concerning the Company as Subscriber and the Advisors deem to be necessary or advisable

in order to reach an informed decision as to an investment in the Company. Subscriber and the Advisors have carefully reviewed and understand these materials and have had answered to their full satisfaction any and all questions regarding the business, properties, prospects, and financial conditions of the Company. Subscriber acknowledges that it and its Advisors have had the opportunity to ask questions of, and receive answers from, or obtain additional information from, the officers of the Company concerning the financial and other affairs of the Company and, to the extent deemed necessary, Subscriber has asked such questions and received satisfactory answers and desires to invest in the Company. Subscriber and its Advisors have made independent investigation of the Company, its management, and related matters as they deem to be necessary or advisable in connection with the purchase of the Securities. All information relating to the Company and its business has been presented to Subscriber and the Advisors in a clear and understandable format.

(g) *Tax and Financial Information.* Subscriber further acknowledges that no representations or warranties of any nature have been made to Subscriber with respect to the ultimate consequences or tax consequence of Subscriber's investment in the Company.

(h) *No Inconsistent Statements.* No oral or written representations have been made, or oral or written information furnished, to Subscriber or the Advisors, if any, in connection with this offering which are in any way inconsistent with the information contained in this Subscription Agreement.

(i) *Speculative Investment.* Subscriber is aware that Subscriber's investment in the Company is speculative and involves a high degree of risk of loss arising from, amongst other things, substantial market, operational, competitive, and other risks, and, having made Subscriber's own evaluation of the risks associated with this investment, Subscriber is aware of, and Subscriber has been advised that, Subscriber must bear the economic risks of a purchase of the Securities indefinitely. Subscriber and its Advisors have reviewed and understand, and have had the opportunity to ask questions and receive answers concerning, the risk factors herein contained. Subscriber has such knowledge and experience in financial and business matters that Subscriber is capable of evaluating the merits and risks of Subscriber's investment, and Subscriber is able to bear such risks and has obtained, in the reasonable judgment of Subscriber and the Advisors, sufficient information from the Company or its authorized representatives to evaluate the merits and risks of such investment.

(j) *No General Solicitation.* Subscriber is unaware of, is no way relying on, and did not become aware of the offering of the Securities through or as a result of any form of general solicitation or general advertising including without limitation any article, notice, advertisement, or other communication published in any newspaper, magazine, or similar media or broadcast over television, radio, or the internet (including without limitation internet "blogs", social networking websites (e.g., Twitter, LinkedIn, Facebook, and the like), and any other form of social media), in connection with the offering and sale of the Securities, and Subscriber is not subscribing for the Securities and did not become aware of the offering of the Securities through or as a result of any seminar or meeting to which Subscriber was inviting by, or any solicitation of a subscription by, a person not previously known to Subscriber in connection with investments in securities generally.

(k) *Cooperation with Company*. Within five (5) days after receipt of a written request from the Company, Subscriber will provide such information and deliver such documents as may be reasonably necessary to comply with any and all laws and ordinances to which the Company is subject.

(l) *No Dependency on Investment*. Subscriber warrants the following: (i) Subscriber has adequate means of providing for its current needs and possible contingencies, apart from any income that Subscriber might earn from an investment in the Company; (ii) Subscriber has no need for liquidity of Subscriber's investment in the Company; (iii) the Purchase Price does not exceed twenty percent (20%) of Subscriber's net worth; (vi) Subscriber has, alone, such knowledge and experience in business and financial affairs that Subscriber is capable of evaluating the relative risks and merits of this investment, and warrants that Subscriber's commitment to the investment herein described is suitable, and not excessive in view of Subscriber's net worth and financial circumstances.

(m) *Residence*. If Subscriber is an individual, Subscriber warrants and represents that it resides in the state identified in the address contained on the signature page hereto; if Subscriber is a partnership, corporation, limited liability company, or other entity, then the office or offices of Subscriber are located at the address provided by Subscriber on the signature page hereto. In the event that Subscriber is not a resident of the United States, such Subscriber hereby agrees to make such additional representations and warranties relating to such Subscriber's status as a non-United States resident as may be reasonably requested by the Company, and to execute and deliver such documents or agreements as may be requested by the Company related thereto, as a condition to the purchase and sale of any Securities hereunder.

(n) *Passive Investment*. Subscriber acknowledges and agrees that except as otherwise stated in the Operating Agreement, Subscriber will have no right or power to participate in the day-to-day management or control of the Company, and will not have an opportunity to evaluate the specific management decisions made by the Company except as may be expressly provided in the Operating Agreement of the Company.

(o) *Compliance with Patriot Act*. Subscriber shall use good faith and commercially reasonable efforts to comply with the Patriot Act (as defined below) and all applicable requirements of governmental authorities having jurisdiction over Subscriber, including those relating to money laundering and terrorism. For purposes hereof, the term "**Patriot Act**" means the Uniting and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism Act of 2001, as the same may be amended from time to time, and corresponding provisions of future laws. Subscriber hereby represents that neither Subscriber nor its members, principals, directors, shareholders, partners or officers (if any) have been previously indicted for or convicted of any felony involving a crime or crimes of moral turpitude or for any Patriot Act Offense (as defined below). For purposes hereof, the term "**Patriot Act Offense**" means any violation of the criminal laws of the United States of America or of any of the several states, or that would be a criminal violation if committed within the jurisdiction of the United States of America or any of the several states, relating to terrorism or the laundering of monetary instruments, including any offense under: (i) the criminal laws against terrorism; (ii) the criminal laws against money laundering; (iii) the Bank Secrecy Act, as amended; (iv) the Money

Laundering Control Act of 1986, as amended; or (v) the Patriot Act.

(p) *Reliance on Subscriber's Representations.* Subscriber acknowledges and agrees that the Company and all current and future members thereof are relying on the agreements and representations herein contained. **Subscriber further understands that the representations and warranties made herein may be used as a defense in any actions relating to the Company, or the offering of the Securities in the Company.**

(q) *No Commissions.* In connection with the purchase of the Securities by Subscriber, Subscriber has not paid and will not pay, and has no knowledge of the payment of, any commission or other direct or indirect remuneration to any person or entity for soliciting or otherwise coordinating the purchase of the Securities.

(r) *Compliance with Foreign Securities Laws.* If Subscriber is not a U.S. person (as defined by Section 7701(a)(30) of the Internal Revenue Code of 1986, as amended), Subscriber hereby represents that Subscriber has satisfied himself, herself or itself as to the full observance of the laws of Subscriber's jurisdiction in connection with his, her or its receipt of the Securities or any use of this Subscription Agreement, including without limitation: (i) the legal requirements within Subscriber's jurisdiction for the issuance of the Securities to Subscriber; (ii) any foreign exchange restrictions applicable to such issuance; (iii) any governmental or other consents that may need to be obtained; and (iv) the income tax and other tax consequences, if any, that may be relevant to the issuance, holding, redemption, sale, or transfer of the Securities. Subscriber's receipt and continued beneficial ownership of the Securities will not violate any applicable securities or other laws of Subscriber's jurisdiction.

(s) *Confidentiality of Offering.* Subscriber acknowledges and agrees that this Subscription Agreement, and any accompanying documents delivered by the Company to Subscriber in connection with this subscription, are strictly confidential. Subscriber hereby represents and warrants that: (i) Subscriber has not distributed this Subscription Agreement and accompanying documents to anyone other than its Advisors; (ii) no one except such Advisors has used the accompanying documents, and Subscriber has not made copies of such documents; and (iii) if Subscriber decides not to purchase the Securities, Subscriber shall promptly return this Subscription Agreement and related materials to the Company immediately upon request.

(t) *Liquor License.* Subscriber acknowledges and agrees that the Company, whether directly or through its parents, affiliates, or entities in which the Company is or may invest, shall apply, or have already applied, for one or more liquor licenses from one or more licensing authorities, which may include, without limitation, the New York State Liquor Authority or any successor thereof (the "**NYSLA**"), in connection with the Company's business, and acknowledges that the good standing of said liquor license(s) is essential to the success and viability of the Company's business. Subscriber further understands that the accuracy of the following representations by Subscriber is essential to the Company's application for, or maintenance and/or renewal of, its liquor license(s) before applicable licensing authorities, including, without limitation, the NYSLA. Subscriber hereby warrants and represents to the Company that the following representations are true:

(i) Subscriber is at least twenty-one (21) years of age;

(ii) Subscriber is not an active duty police officer;

(iii) Subscriber is not a person whose license to sell alcoholic beverages has been, has been threatened to be, or is in the process of being, revoked by any governmental authority;

(iv) Subscriber is not a convicted felon in any jurisdiction;

(v) Subscriber is either a citizen of the United States of America, a permanent resident alien, or a citizen of a country with a treaty allowing persons to obtain a visa to enter the United States of America to engage in trade;

(vi) Subscriber has no interest, whether as a proprietor, partner, executive, stockholder, principal, agent, consultant, director, officer, or in any other capacity or manner whatsoever, in any of the following: a wholesale alcoholic beverage company, or an alcohol distributor, producer, importer, or manufacturer;

(vii) Subscriber agrees that its name may appear on a public database as co-licensee in connection with the Company's liquor license(s);

(viii) Subscriber agrees that it shall, promptly following the Company's request, provide certain information or complete certain documentation as may be required in connection with the application for, or the maintenance and/or renewal of, the Company's liquor license(s), which may include, without limitation: (A) a completed personal questionnaire; (B) certain financial documentation, including, without limitation, bank statements; (C) a two (2) inch by two (2) inch color passport photo of Subscriber; (D) a copy of Subscriber's passport, visa, and/or other proof of citizenship; and (E) completion of a fingerprinting and/or background check.

(u) *Interest-Bearing Accounts.* Subscriber acknowledges and agrees that the Purchase Price may be deposited by the Company into an interest-bearing account in the sole and reasonable discretion of the Manager, and, in such case, all interest earned will accrue to the benefit of the Company.

(v) *Relation to Company*. Subscriber represents and warrants that Subscriber has a pre-existing personal or business relationship with one or more managers, directors, officers, or principals of the Company, consisting of personal or business contacts of a nature and duration sufficient to enable Subscriber, as a reasonably prudent investor, to be aware of the character, business acumen, and general business and financial circumstances of the persons with whom such relationship exists.

(w) *Accredited Investor.* Subscriber acknowledges and agrees that this is a private offering available only to high net worth subscribers. Subscriber further warrants that Subscriber: (i) has a net worth (excluding home equity, home furnishings, and automobiles), or joint net worth with Subscriber's spouse, of at least $1,000,000; or (ii)

Subscriber has had income in excess of $200,000, or joint income with Subscriber's spouse in excess of $300,000, in each of the past two calendar years, and reasonably expects during this calendar year to have income in excess of $200,000, or joint income with Subscriber's spouse in excess of $300,000; or (iii) Subscriber is otherwise an accredited investor under the Securities Act of 1933. If Subscriber is an entity, Subscriber warrants that all of the equity owners of such entity are accredited investors under the Securities Act of 1933. Alternatively, if Subscriber is an unaccredited investor, Subscriber hereby represents and warrants that Subscriber has such knowledge and experience in financial and business matters so as to be capable of evaluating the merits and risks of the prospective investment, and has the financial capability to undertake such risks. Subscriber further agrees to furnish the Company with such information as it may request to establish its suitability as a prospective investor.

(x) *Survivability.* Subscriber represents that the foregoing representations and warranties are true and correct as of the day hereof. The foregoing representations and warranties shall survive the closing of the transactions contemplated hereby.

(y) *Further Assurances.* Subscriber shall promptly furnish to the Company any and all information concerning Subscriber and its investment in the Company that the Company may from time to time request for the purpose of complying with any federal, state, local, or foreign law, statute, rule, regulation, or governmental or regulatory requirement, including any change to Subscriber's state of residence, and Subscriber warrants and represents that, at the time any such information is furnished to the Company and on the Effective Date, such information will be accurate and complete.

4. **Representations and Warranties of the Company.** The Company hereby represents and warrants to Subscriber as follows:

(a) *Organization and Good Standing.* The Company is a limited liability company, duly organized, validly existing, and in good standing under the laws of the State of New York, has all requisite power to own, lease and operate its assets and to carry on its business as is presently being conducted, or as is planned in the future.

(b) *Authorization.* The Company has all requisite power and authority to execute and deliver this Subscription Agreement and all documents necessary or appropriate in order to effectuate fully the terms and conditions herein. The delivery of this Subscription Agreement has been duly authorized by all necessary action on the part of the Company and constitutes the valid and legally binding obligation of the Company, enforceable in accordance with its terms and conditions, except as enforceability thereof may be limited by any applicable bankruptcy, reorganization, insolvency or other laws affecting creditors' rights generally or by general principles of equity. The sale and delivery of the Securities has been duly authorized by all requisite action of the Company and other required parties, if any.

(c) *Non-Contravention.* The execution, delivery and performance by the Company of this Subscription Agreement, the consummation of the transactions contemplated hereby and compliance with the provisions hereof, including sale and delivery of the Securities, have not, and shall not: (i) violate any law to which the Company is subject; (ii) violate any provision of the Certificate of Formation of the Company; (iii) conflict with,

result in a breach of, constitute a default under, result in the acceleration of, create in any party the right to accelerate, terminate, modify or cancel, or require any notice under any contract to which the Company is a party; or (iv) result in the imposition of any lien upon any of the assets of the Company.

(d) *Compliance with Law*. To the best of the Company's knowledge, and in conjunction with Subscriber's representations herein, the Company is in compliance with all applicable laws, rules, regulations, orders, judgments, decrees, permits, licenses, and authorizations.

5. **Indemnification**. Subscriber agrees to indemnify and hold harmless the Company and its respective managers, members, officers, directors, employees, agents, advisors, counsel, control persons, principals, partners, parents, subsidiaries and affiliates from and against all losses, liabilities, claims, damages, costs, fees and expenses whatsoever (including, but not limited to, any and all expenses incurred in investigating, preparing or defending against any litigation commenced or threatened) based upon or arising out of any actual or alleged false or inaccurate acknowledgment, representation or warranty, or misrepresentation or omission to state a material fact herein or in any other document delivered in connection with this Subscription Agreement. Subscriber shall reimburse each indemnified person for its legal and other expenses (including the cost of any investigation and preparation) as they are incurred in connection with any such claim, action, proceeding or investigation. The reimbursement and indemnification obligations of Subscriber under this paragraph shall survive any closing applicable to Subscriber (or, if this Subscription Agreement is terminated by the Company, such termination), and shall be binding and inure to the benefit of any successors, assigns, heirs, estates, executors, administrators and personal representatives of the indemnified persons.

Company agrees to indemnify and hold harmless Subscriber and its respective employees, agents, advisors, counsel, control persons, principals, partners, and affiliates from and against all losses, liabilities, claims, damages, costs, fees and expenses whatsoever (including, but not limited to, any and all expenses incurred in investigating, preparing or defending against any litigation commenced or threatened) based upon or arising out of any actual false or inaccurate acknowledgment, representation or warranty, or misrepresentation or omission to state a material fact in this Subscription Agreement. Company shall reimburse each indemnified person for its legal and other expenses (including the cost of any investigation and preparation) as they are incurred in connection with any such claim, action, proceeding or investigation. The reimbursement and indemnification obligations of Company under this paragraph shall survive any closing applicable to Subscriber (or, if this Subscription Agreement is terminated by the Company, such termination), and shall be binding and inure to the benefit of any successors, assigns, heirs, estates, executors, administrators and personal representatives of the indemnified persons.

6. **Risk Factors**. INVESTMENT IN THE COMPANY INVOLVES A HIGH DEGREE OF RISK, INCLUDING A SUBSTANTIAL RISK OF LOSS OF PART OR ALL OF ANY INVESTMENT. THEREFORE, IN EVALUATING AN INVESTMENT IN THE COMPANY, PROSPECTIVE INVESTORS SHOULD CAREFULLY CONSIDER THE FOLLOWING RISK FACTORS, AMONG OTHERS, AS WELL AS OTHER INFORMATION HEREIN CONTAINED, AND CONSULT WITH THEIR

PROFESSIONAL ADVISORS. IF ANY OF THE EVENTS DESCRIBED IN THE RISK FACTORS BELOW OCCUR, THE COMPANY'S BUSINESS, FINANCIAL CONDITION, OPERATING RESULTS, AND PROSPECTS COULD BE MATERIALLY ADVERSELY AFFECTED, WHICH IN TURN COULD ADVERSELY AFFECT THE VALUE OF AN INVESTMENT IN THE COMPANY.

The following list of risk factors is a collection of more serious risks known to Company management, but does not purpose to be an exhaustive catalogue of all possible risks associated with an investment in the Company. The following discussion should not be construed as a presentation of the risk factors according to priority of importance.

(a) *Recently Organized Company/Limited Operating History*. The Company was recently organized and, other than in connection with this offering, has not engaged in any material business transactions since its inception. There can be no assurance that the Company's current business plan will prove successful, and there is no assurance that the Company will be able to operate profitably in spite of the best efforts of its Manager. In light of the limited operating history of the Company, the future prospects and profitability of the Company should be considered in light of the risks that can be encountered by similarly situated companies in their early stages of development. In addition, the Company is still in its commercial planning phase and any investment therein will constitute highly speculative seed capital.

(b) *Earnings and Distributions*. Payment of future distributions will be dependent upon multiple factors including, without limitation, the Company's earnings, sufficient cash flow, financial requirements, and others. No assurances can be given that the Company will operate profitably or declare and pay any future distributions, or that the Company will generate sufficient cash flow to meet the obligations of the Company, or that expected growth rates will be attained. In addition, no assurance can be made that Subscriber will either realize a return of or will recoup its capital investment in the Company.

(c) *Arbitrary Offering Price.* Prior to the offering made hereby, there has been no market for the Securities, and no regulatory agency or authority has set or recommended a price for the Securities. The offering price of the Securities has been arbitrarily determined by the Company subject to the consideration of several factors. Among the factors considered in determining such offering prices were the current financial condition of the Company and any subsidiaries, the degree of control which the current members desire to retain, an evaluation of the prospects for the Company's growth, and the estimated start-up expenses of the Company. The offering price set forth herein should not, therefore, be considered an indication of the actual value of the Securities.

(d) *Hospitality Industry Risks Generally*. The Company's business will be subject to all of the risks generally associated with the hospitality industry, including fluctuation in the availability and cost of food and beverages, the ability to obtain and retain qualified employees at affordable wages, changes in consumer preferences and shifts in the economy. Historically, restaurants have represented high risk investments, and the rate of failure for bars and restaurants is considered to be at least as high, or higher, than the failure rate for small businesses generally. In general, restaurant operating costs, such as leasing costs, utilities, insurance, food and beverage costs, and labor costs have increased steadily over the past several years and will likely increase in the future, and such costs are not based

on or tied to revenue. In addition to the factors referenced above, various additional intangible factors bear upon the success or failure of a bar and/or restaurant concept, including food quality, consumer acceptance, service, the real estate platform, and the experience and skill of the hospitality management. No assurance can be given that the Company's business will be profitable or that the investors will have their investment in the Company returned to them.

(e) *Expansion Risks.* As the Company implements its development strategy, there will be additional demands on the Company's administrative, management, and financial resources, which may challenge the ability of the Company's management to effectively manage the Company's affairs. The failure to continue to upgrade the administrative, operating, and financial control systems, and unexpected operational difficulties, could adversely affect the Company's business. Effective expansion of the Company's business will require the Company to attract and retain experienced personnel, contractors, and consultants to support Company growth. While the Company believes it will be able to attract and retain the talent needed to effectively grow the Company, there can be no assurance that this will be the case.

(f) *Competition*. The hospitality industry is highly competitive today and is likely to remain so in the future. The competition for bars and restaurants in New York City is especially competitive, as New York City has one of the densest concentrations of bars and restaurants in the United States. The hospitality industry is affected by affected by the rapid change in consumer purchasing habits, popularity of restaurants and nightclubs, population trends, traffic patterns, and evolving industry standards. Key competitive factors in the industry include the taste, quality and price of the food, product offerings, quality and speed of service, brand name identification, and attractiveness of facilities, location, and overall experience. Many of the current and potential competitors of the Company have been in existence for a substantially longer period than the Company and its business, and may be better established in the markets in which the Company will operate. Many competitors of the Company will have substantially greater financial, marketing, and other resources than the Company currently possesses. Increased competition may lead to lower profits and surplus inventory, which may result in a further downward price pressure that may adversely affect the business, financial condition, operating results, and prospects of the Company.

(g) *Risks Related to Food Supply*. The Company's success will depend in part upon the ability of the Company, any third party entity that is managed or operated by the Company, or any third party in which the Company shall invest (each, a "**Managed Venture**") to acquire fresh produce, quality proteins, and related items from reliable sources in accordance with the Company's specifications. Shortages or interruptions in the supply of such food products caused by unanticipated demand, problems in production or distribution, significant price fluctuations, refusal or failure by suppliers to supply required inventory, inclement weather, or other conditions could adversely affect the availability, quality, and cost of ingredients, which would have an adverse and negative effect upon the Company's businesses. The Company and/or the Managed Ventures may lose customers based on health concerns about consumption or certain types of food or ingredients, or negative publicity regarding the same. In addition, operational controls and training may not be effective in preventing all food-borne illnesses. Some food-borne illness incidents could be caused by food suppliers and transporters which would be outside of the Company's control. Any

negative publicity, health concerns, or specific outbreaks of food-borne illnesses, or the public perception thereof, could result in a decrease in the Company's consumer traffic.

(h) *Food-Related Illnesses.* A number of illnesses or allergies related to a variety of food ingredients, including without limitation meats, fruits, and vegetables, have recently caused concern among consumers and health care officials and caused serious illness or allergies in some cases. One or more outbreaks of such food related illnesses, whether pandemic or isolated, may adversely affect consumer demand for certain foods, and consequently negatively impact the operations and profitability of the food business of the Company or any Managed Venture, regardless of whether the Company bears any responsibility, or the quality of its safety protocols.

(i) *Consumer Tastes*. The market for bars and restaurants and the consumer thereon is characterized by frequent changes in consumer tastes and dietary preferences. The Company's future success will largely depend upon the ability of the Company and the Managed Ventures to effectively address consumer demands and enhance products to meet changing consumer demands. Shifts in consumer preferences away from the cuisine or dining style of the Managed Ventures could materially and adversely affect the Company's operating results. There can be no assurance the current market trends will prevail and that the Managed Ventures will satisfy changing consumer demands, or that the Managed Venture's products will have, or continue to have, market acceptance.

(j) *Reliance on Projections*. Any financial information, timelines, and revenue or market projections that the Company or its representatives have provided Subscriber are merely projections which do not constitute a guarantee of the Company's future results of operations. Such projections were not prepared with a view to public disclosure or compliance with published guidelines of the Securities and Exchange Commission or any state securities commission. These projections of future operational performance of the Company are based on certain assumptions made by the Company's management and are inherently subject to significant business, economic, regulatory, technological, and competitive uncertainties and contingencies. All such assumptions are difficult to predict or quantify, and many are beyond the Company's control. Therefore, there can be no assurance that the projections or underlying assumptions will be realized, and actual results may vary substantially from the projections (if any) shared by the Company with Subscriber. Neither the Company nor any principal or representative thereof makes any representation or warranty with respect to the accuracy or reliability of such projections, and Subscriber must be aware that, due to any number of unforeseen factors, actual operational results are likely to differ from the projected results, and such differences may be material.

(k) *Possibility of Delays*. Any delay in the financing, construction, lease negotiation, build-out, or launch of a Managed Venture could materially damage the brand, business, prospects, financial condition, and operating results of the Company. Restaurants and bars often experience unforeseeable delays in their financing, construction, lease negotiation, build-out, or launch, and the possibility of such delays increases the risks associated with subscription in the Company.

(l) *Qualified Personnel; Reliance upon Management.* The Company's success depends in part on its ability to attract, motivate, and retain a sufficient number of qualified managerial personnel, including chefs, general managers and other personnel

necessary to establish the Company's operations and keep pace with its anticipated growth. Qualified individuals are in short supply and competition for these employees is intense. If management is unable to recruit and retain sufficient qualified individuals, the business could be adversely affected. Additionally, competition for qualified personnel could require the Company to pay higher wages in order to retain them, which could result in higher labor cost to the detriment of the Company's profitability. Furthermore, the Company's success will depend largely on the efforts of its Manager, as defined by the Operating Agreement, and the loss or unavailability of the services of the principals of the Company's Manager may have a material adverse impact on the Company. Except as may be expressly provided in the Operating Agreement, all decisions concerning the Company will be the sole responsibility of the Manager, and Subscriber will have no ability to make any decisions with respect thereto. No person should make any investment in the Company unless such person is willing to entrust all aspects of the Company's management to the Manager and the principals thereof.

(m) *Liability of Members*. Members of the Company are generally not liable for the obligations of the Company beyond the extent of their capital contributions and share of undistributed profits of the Company. Notwithstanding the foregoing, New York takes the position that certain limited liability company members with managerial authority may be liable for unpaid sales taxes of a limited liability company. New York also takes the position under Wage Theft and Prevention Act, as may be amended from time to time, that the ten (10) members of a limited liability company with the largest ownership share in that company may be held jointly and severally liable for any and all debts, wages, or salaries due and owing to the company's employees and contractors for their services to the company, and that employees and contractors may recover liquidated damages, penalties, interest, and attorneys' fees or costs incurred in successfully pursuing such claims, provided that the plaintiff employee or contractor affords such member or members at least one hundred and eighty (180) days' written notice of such suit.

(n) *Seasonality*. The performance of the Managed Ventures may also be subject to seasonal fluctuations. Historically, sales in most hospitality venues are higher during the second and fourth quarters of each year, and operating results are subject to fluctuate significantly due to seasonality. Results for one fiscal quarter are not necessarily indicative of results to be expected for any other quarter or for any other year.

(o) *Necessity for Additional Financing*. The Company requires the proceeds derived from this offering to continue and/or commence commercial operations and/or additional investments. However, there can be no assurance that additional working capital will not be required to sustain those operations, or that if required, additional financing can be obtained on terms satisfactory to the Company, if at all. Any such future financing may result in substantial dilution of the percentage interest owned by the Company's existing Members. Members will also not have the right to withdraw any amount of their investment in the Company at any time without the prior consent of the Manager, which consent may be withheld for any reason.

(p) *Restrictions on Transfer*. The Company's securities have not been registered under applicable securities laws and may not be sold or transferred, or otherwise pledged, hypothecated, sold, or otherwise disposed of, unless they are either registered or qualify for an exemption from registration under applicable securities laws. The Operating

Agreement also restricts the transfer of Company securities. There is currently no public market for the Company's securities, nor is one likely to develop. Accordingly, investors in the Company may not be able to liquidate their investment, and investors should be prepared to hold their securities in the Company for an indefinite period of time.

(q) *Economic Risks*. The United States economy continues to face instability and uncertainty. As a result, the Company may have difficulty obtaining equity or debt financing on favorable terms, or at all, and the Company and/or the Managed Ventures may have trouble generating business.

(r) *Litigation*. Restaurant and hospitality companies have increasingly been the target of certain types of lawsuits, including class action lawsuits and other proceedings. It is possible that a customer may file complaints or lawsuits against the Company and/or the Managed Ventures alleging that the defending party is responsible for some illness or injury suffered at or following a visit to the business in question. The Company and the Managed Ventures will also be subject to a variety of other third party claims arising in the ordinary course of business, including personal injury claims, contract claims, and claims alleging violations of federal and state laws. In addition, the Company and the Managed Ventures may be subject to "dram shop" or other similar laws which generally allow a person to sue the Company if that person was injured by a legally intoxicated person who was wrongfully served alcoholic beverages at the Company's premises. In addition, the Company and the Managed Ventures may also be subject to lawsuits from the Company's employees or others, including class actions, alleging violations of federal and state laws regarding workplace and employment matters, discrimination, and other similar matters. A number of these lawsuits have resulted in the payment of substantial damages by the defendants. Insurance may not be available at all, or in sufficient amounts, to cover any liabilities with respect to these matters. Regardless of whether claims against the Company and/or the Managed Ventures are valid or whether the Company and/or any Managed Venture is liable, claims may be expensive to defend (and may not be adequately covered by insurance, if at all), and may divert time and money away from the operations of the Company and/or the Managed Ventures. In addition, lawsuits may generate negative publicity, which could reduce customer traffic and sales of and through the Company and/or the Managed Ventures. A judgment or other liability against the Company and/or a Managed Venture in excess of insurance coverage, if any, for any claims or any adverse publicity resulting from those claims could adversely affect the Company's business and results of operations.

(s) *Catastrophes*. The performance of the Company is subject to many factors beyond the Company's reasonable control. Prolonged or severe inclement weather could affect Company sales. Similar losses may result from natural disasters or other catastrophic events affecting the Company's business, such as hurricanes, tropical storms, high winds, floods, droughts, terrorist attacks, strikes, boycotts, fires, epidemics, pandemics, increases in energy prices, explosions, or other natural or man-made disasters. The incidence and severity of such catastrophes are inherently unpredictable, the Company's losses as a result of catastrophe could be substantial.

(t) *Tax Matters*. The tax aspects of an investment in the Company are complicated, and Subscriber is hereby advised to have them reviewed by professional

advisers familiar with Subscriber's personal tax situation and with the tax laws and regulations applicable to such investments.

(u) *Other Risks.* There are unknown and unforeseen risks which attach to any investment, in addition to the risks specifically set forth herein. The foregoing risks are intended to be illustrative and not exhaustive, and all prospective investors should evaluate for themselves the opportunity to invest in the Company, and should be aware that there are other potential risks involved in any such investment.

8. **Confidentiality**. Subscriber acknowledges and agrees that any information or data that Subscriber has acquired from or about the Company and/or its representatives and affiliates, not otherwise properly in the public domain, was received in confidence. Subscriber agrees not to divulge, communicate, or disclose, except as may be required by law or for the performance of this Subscription Agreement, or use to the detriment of the Company or its affiliates or for the benefit of any other person or persons, or misuse in any way, any confidential information of the Company, including any scientific, technical, trade or business secrets of the Company and its affiliates and any scientific, technical, trade or business materials that are treated by the Company as confidential or proprietary, including, but not limited to, ideas, discoveries, inventions, techniques, processes, developments and improvements belonging to the Company or its affiliates and confidential information obtained by or given to the Company or its affiliates about or belonging to third parties, in each case except to Subscriber's attorneys, accountants and professional and financial advisors who are subject to duties of confidentiality. Notwithstanding the foregoing, Subscriber understands that information relating to Subscriber shall appear on the financial statements and other records of the Company. Subscriber acknowledges and agrees that other Company members may receive such information as permitted by the Operating Agreement or as required by applicable laws and may share such information with their advisors.

9. **Blue Sky Qualification**. The purchase of Securities under this Subscription Agreement is expressly conditioned upon the exemption from qualification of the offer and sale of the Securities from applicable federal and state securities laws. The Company shall not be required to qualify this transaction under the securities laws of any jurisdiction and, should qualification be necessary, the Company shall be released from any and all obligations to maintain its offer, and may rescind any sale contracted, in the jurisdiction.

10. **Miscellaneous.**

(a) *Entire Agreement.* This Subscription Agreement and the Operating Agreement contain the entire agreement of the parties, and there are no representations, covenants, or other agreements except as stated or referred to herein or therein.

(b) *Amendment and Waiver.* Neither this Subscription Agreement nor any provisions hereof will be waived, modified, discharged, or terminated except by written instrument executed by the party against whom any such waiver, change, discharge, or termination is sought to be enforced.

(c) *Irrevocability; Binding Effect.* Subscriber hereby acknowledges and

agrees that the subscription hereunder is irrevocable by Subscriber, except as required by applicable law, and that this Subscription Agreement shall survive the death or disability of Subscriber and shall be binding upon and inure to the benefit of the parties and their heirs, executors, administrators, successors, legal representatives, and permitted assigns. If Subscriber is more than one person, the obligations of Subscriber hereunder shall be joint and several, and the agreements, representations, warranties, and acknowledgments herein shall be deemed to be made by and be binding upon each such person and such person's heirs, executors, administrators, successors, legal representatives, and permitted assigns.

(d) *Fees and Expenses.* Each of the Parties shall pay its own fees and expenses (including the fees of any attorneys, accountants, appraisers or other engaged by such party) in connection with this Subscription Agreement and the transactions contemplated hereby, whether or not the transactions contemplated hereby are consummated.

(e) *Counterparts.* This Subscription Agreement may be executed in one or more counterparts, each of which shall be deemed an original, but all of which shall together constitute one and the same instrument. Signed facsimile counterparts to this Subscription Agreement or signed counterparts delivered in .pdf or other electronic format shall be acceptable and binding and treated in all respects as having the same effect as an original signature.

(f) *Severability*. Each provision of this Subscription Agreement shall be considered separable and, if for any reason any provision or provisions hereof are determined to be invalid or contrary to applicable law, such invalidity or illegality shall not impair the operation of or affect the remaining portions of this Subscription Agreement.

(g) *Interpretation.* The titles, subtitles, and headings used in this Subscription Agreement are for convenience only, and are not to be considered in construing or interpreting this Subscription Agreement. The language used in this Subscription Agreement shall be deemed to be the language chosen by the Parties to express their mutual agreement; any rule of construction to the effect that ambiguities are to be resolved against the drafting party shall not be applied in the construction or interpretation of this Subscription Agreement. The words "include" and "including" and variations thereof shall be deemed to be followed by the words "without limitation." "Or" is used in the inclusive sense of "and/or." The words "hereof," "herein," "hereby," "hereunder," and similar terms in this Subscription Agreement refer to this Subscription Agreement as a whole and not to any particular provision hereof. Except as otherwise indicated, all references in this Subscription Agreement to "Articles," "Sections," "Schedules," and "Exhibits" are intended to refer to those belonging to this Subscription Agreement. Whenever used herein, the singular number shall include the plural, the plural shall include the singular, and the use of any gender shall be applicable to both genders.

(h) *Assignment.* This Subscription Agreement and the rights, interests, and obligations hereunder are not transferable or assignable by Subscriber, and the transfer or assignment of the Securities shall be made only in accordance with all applicable laws and subject to the Operating Agreement.

(i) *Notices.* Any notice, demand, or other communication that any party

hereby may be required or may elect to give to anyone interested hereunder will be sufficiently given if (i) deposited, postage prepaid, in a U.S. Postal Service letter box, registered or certified mail, return receipt requested, addressed to such address as may be given herein three (3) business days after such deposit; or (ii) delivered by reputable overnight courier, on the first business day after being sent by such courier; or (iii) delivered personally at such address, on the day of such delivery. The Company's address for notices is as set forth in the Company's Articles of Organization, and Subscriber's address for notices is set forth on the signature page. Copies of all notices to the Company (which copies will not constitute notice) shall be given to Drew Macklin Law PLLC, 378 Grand Avenue #2, Brooklyn, NY 11238, Attention: Drew Macklin, Esq.

(j) *Governing Law, Arbitration.* This Subscription Agreement shall be governed by, and construed and enforced in accordance with the laws of the State of New York without regard to principles of conflict of laws. The Parties agree to submit all controversies, disputes, claims, and matters of difference arising out of or relating to this Subscription Agreement to arbitration administered by the American Arbitration Association in New York, New York, in accordance with the Commercial Arbitration Rules of the American Arbitration Association then in force. This submission and agreement to arbitrate shall be specifically enforceable in the Supreme Court of the State of New York, County of New York. The Parties are otherwise waiving their right to seek remedies in court, including the right to a jury trial. Arbitration may proceed in the absence of one party if proper notice of the proceeding has been given to such party. The Parties agree to abide by all awards rendered in such proceedings. Such awards shall be final and binding on all Parties and judgment on any award may be entered in any court having jurisdiction thereof. The prevailing party shall recover all reasonable attorneys' fees and costs from opposing party.

[Signature Page Follows]

PENGUIN FLAGSHIP NYC LLC

SIGNATURE PAGE TO SUBSCRIPTION AGREEMENT

Subscriber hereby elects to subscribe under the Subscription Agreement for the below number of Units, and covenants and agrees to be bound by the terms of (i) this Subscription Agreement of the Company and (ii) the Operating Agreement of the Company, the receipt and acceptance of which is hereby acknowledged by the undersigned Subscriber.

BY SUBSCRIBER

Total Amount Delivered by Subscriber to Company: $ 200,000

Number of CLASS B Units Purchased: 8
($25,000 per Unit)

PLEASE PRINT NAME OF SUBSCRIBER: Sundown Investments LLC

PLEASE PRINT NAME OF SIGNATORY: Robert Burton

PLEASE PRINT TITLE OF SIGNATORY: _____

_____
Subscriber's Address (Place of residence)

_____
SIGNATURE of Subscriber
Name: Sundown Investments LLC
Title:
Date:_____

BY COMPANY

ACCEPTED:

Penguin Flagship NYC LLC
By: People's Hospitality Inc., its Manager

_____
SIGNATURE
Date: _____
Name of Signatory: Emmet McDermott
Title of Signatory: Chief Executive Officer

TO BE COMPLETED BY SUBSCRIBER:
(Note that the below information shall be maintained as strictly confidential by the Company and its professional representatives)

If Subscriber is an INDIVIDUAL, or if purchased as JOINT TENANTS or TENANTS IN COMMON:

_____
Social Security Number(s)

If Subscriber is a PARTNERSHIP, CORPORATION, LIMITED LIABILITY COMPANY, or TRUST:

_____
Federal Taxpayer Identification Number

_____
State of Organization

EXHIBIT A

Operating Agreement
of Penguin Flagship NYC LLC

AMENDED AND RESTATED

OPERATING AGREEMENT

OF

PENGUIN FLAGSHIP NYC LLC

THE UNITS REPRESENTED BY THIS AGREEMENT HAVE NOT BEEN REGISTERED WITH THE SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR UNDER THE SECURITIES ACTS OR LAWS OF ANY STATE IN RELIANCE UPON EXEMPTIONS UNDER THOSE ACTS AND LAWS. THE SALE OR OTHER DISPOSITION OF SUCH UNITS IS RESTRICTED AS STATED IN THIS AGREEMENT, AND IN ANY EVENT IS PROHIBITED UNLESS THE COMPANY RECEIVES AN OPINION OF COUNSEL SATISFACTORY TO IT AND ITS COUNSEL THAT SUCH SALE OR OTHER DISPOSITION CAN BE MADE WITHOUT REGISTRATION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND ANY APPLICABLE STATE SECURITIES ACTS AND LAWS. BY ACQUIRING UNITS REPRESENTED BY THIS AGREEMENT, EACH MEMBER REPRESENTS THAT IT WILL NOT SELL OR OTHERWISE DISPOSE OF ITS UNITS WITHOUT COMPLIANCE WITH THE PROVISIONS OF THIS AGREEMENT AND REGISTRATION OR OTHER COMPLIANCE WITH THE AFORESAID ACTS AND LAWS AND THE RULES AND REGULATIONS ISSUED THEREUNDER.

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AMENDED AND RESTATED OPERATING AGREEMENT OF PENGUIN FLAGSHIP NYC LLC

This Amended and Restated Operating Agreement of Penguin Flagship NYC LLC (the "**Company**") is effective as of March 10, 2026, by and among the Company and the Persons listed on Schedule A hereto (together with such employees, consultants, investors and other persons of the Company who shall become members of the Company and are designated "**Members**" after the date hereof in accordance with Section 4.7 of this Agreement). Any capitalized term used herein without definition shall have the meaning set forth in Section 1.1.

RECITALS

WHEREAS, on November 17, 2025, the Company was formed by the organizer in accordance with the provisions of the Act;

WHEREAS, on November 17, 2025, in connection with its organization, the Company and certain of its Members entered into an operating agreement of the Company (the "**Prior LLC Agreement**");

WHEREAS, the Members now desire to amend and restate the Prior LLC Agreement in its entirety to denominate the membership interests in the Company and make other changes in respect of the governance, operations and business of the Company as set forth herein; and WHEREAS, the Members intend to enter into this Agreement as the limited liability agreement of the Company within the meaning of the Act and set forth the respective rights, powers and interests of the Members with respect to the Company.

NOW, THEREFORE, in consideration of the premises and the mutual agreements contained herein, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto hereby agree as follows:

ARTICLE I

DEFINED TERMS

Section 1.1. Definitions.

"**Accounting Period**" means, for the first Accounting Period, the period commencing on the date the Articles were filed and ending on the next Adjustment Date. All succeeding Accounting Periods shall commence on the day after an Adjustment Date and end on the next Adjustment Date.

"**Act**" means the New York Limited Liability Company Law, and any successor statute, as it may be amended from time to time.

"**Additional Member**" has the meaning set forth in Section 4.7.

"**Adjusted Capital Account Deficit**" means, with respect to any Member, the deficit balance, if any, in such Member's Capital Account as of the end of the relevant Accounting Period, after giving effect to the following adjustments:

(a) credit to such Capital Account any amounts which such Member is deemed to be obligated to restore pursuant to Treasury Regulations section 1.704-1(b)(2)(c) and pursuant to the penultimate sentences in Treasury Regulations sections 1.704-2(g)(1) and 1.704-2(i)(5); and

(b) debit to such Capital Account the items described in Treasury Regulations sections 1.704-1(b)(2)(ii)(d)(4), 1.704-1(b)(2)(ii)(d)(5) and 1.704-1(b)(2)(ii)(d)(6).

The foregoing definition of Adjusted Capital Account Deficit is intended to comply with the provisions of Treasury Regulations section 1.704-1(b)(2)(ii)(d) and shall be interpreted consistently therewith.

"**Adjustment Date**" means the last day of each fiscal year of the Company or any other date determined by the Manager, in its sole discretion, as appropriate for an interim closing of the Company's books.

"**Affiliate**" means, with respect to a specified Person, any Person that directly, or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with the specified Person. As used in this definition, the term "control" means the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a Person, whether through ownership of voting securities, by contract or otherwise.

"**Agreement**" means this Amended and Restated Operating Agreement of the Company, as this agreement may be amended or restated from time to time after the date hereof.

"**Appraisal**" means an appraisal of the Fair Market Value of the Interests or any other asset of the Company by a nationally recognized independent valuation consultant or appraiser of national standing reasonably satisfactory to the Manager.

"**Articles**" means the Articles of Organization of the Company and any and all amendments thereto and restatements thereof.

"**BBA**" has the meaning set forth in Section 10.4(a).

"**BBA Procedures**" has the meaning set forth in Section 10.4(a).

"**Business Day**" means any day of the week other than a Saturday, Sunday or a day on which the commercial banks in New York, NY are not open for business.

"**Capital Account**" has the meaning set forth in Section 7.1.

"**Capital Contribution**" means, for any Member, the total amount of cash and the Fair Market Value of any property contributed to the Company by such Member.

"**Carrying Value**" means, with respect to any Interest purchased by the Company from a Member, the value equal to the Capital Contribution made by such selling Member in respect of such Interest less the amount of Distributions made in respect of such Interest.

"**Class A Percentage Interest**" means, in respect of any Member holding Class A Units, the ratio of such Member's Class A Units to the total number of Class A Units.

"**Class A Units**" mean a class of Interests in the Company, as described in Section 4.1(a).

"**Class B Percentage Interest**" means, in respect of any Member holding Class B Units, the ratio of such Member's Class B Units to the total number of Class B Units.

"**Class B Units**" means a class of Interests in the Company, as described in Section 4.1(b).

"**Code**" means the Internal Revenue Code of 1986, as amended.

"**Company**" means Penguin Flagship NYC LLC, a New York limited liability company.

"**Confidential Information**" means trade secrets, proprietary information and confidential information belonging to the Company and its Affiliates that are not generally known to the public, including, but not limited to, information concerning business plans, financial statements and other information provided pursuant to this Agreement, operating practices and methods, expansion plans, strategic plans, marketing plans, contracts, customer lists or other business documents which the Company treats as confidential, in any format whatsoever (including oral, written, electronic or any other form or medium). For the avoidance of doubt, Confidential Information does not include information (i) that was or becomes generally available to a Member on a non-confidential basis, if the source of this information was not such Member (or an Affiliate of such Member) and the source was not reasonably known to such Member to be bound by a duty of confidentiality, (ii) that was or becomes publicly available (other than as a result of disclosure by such Member in violation the terms of this Agreement) or (iii) that such Member independently developed, learned or discovered without reference to any Confidential Information.

"**Covered Person**" means a current or former Member, an Affiliate of a current or former Member, any officer, manager, shareholder, partner, member, employee, advisor, representative, any Manager, or agent of a current or former Member, or any current or former manager, officer, employee or agent of the Company or the Manager, or any parent, spouse or other direct family member of a Member.

"**Deemed Liquidation Event**" means any of the following events: (a) a merger or consolidation in which the Company is a constituent party or a Subsidiary of the Company is a constituent party and the Company issues Equity Securities pursuant to such merger or consolidation, except any such merger or consolidation involving the Company or a Subsidiary in

which the Equity Securities of the Company outstanding immediately prior to such merger or consolidation continue to represent, or are converted into or exchanged for Equity Securities that represent, immediately following such merger or consolidation, at least a majority, by voting power, of the Equity Securities of (1) the surviving or resulting entity or (2) the parent entity of such surviving or resulting entity (in the event the surviving or resulting entity is a wholly owned subsidiary of another entity immediately following such merger or consolidation); (b) the sale, lease, transfer, exclusive license or other disposition, in a single transaction or series of related transactions, by the Company or any Subsidiary of the Company of all or substantially all the assets of the Company and its Subsidiaries taken as a whole, except where such sale, lease, transfer, exclusive license or other disposition is to a wholly owned Subsidiary of the Company; or (c) the sale, lease, transfer, exclusive license or other disposition (whether by merger, consolidation or otherwise, and whether in a single transaction or a series of related transactions) of one or more Subsidiaries of the Company if substantially all of the assets of the Company and its Subsidiaries taken as a whole are held by such Subsidiary or Subsidiaries, except where such sale, lease, transfer, exclusive license or other disposition is to a wholly owned Subsidiary of the Company. For the avoidance of doubt and notwithstanding anything herein to the contrary, any sale, merger or other consolidation of a parent entity shall not be considered a Deemed Liquidation Event.

"**Deficit**" has the meaning set forth in Section 8.2(a).

"**Depreciation**" means, for each Accounting Period, an amount equal to the depreciation, amortization or other cost recovery deduction allowable for United States federal income tax purposes with respect to an asset for such Accounting Period, except that (i) with respect to any asset whose Gross Asset Value differs from its adjusted basis for United States federal income tax purposes and the difference is being eliminated by use of the "remedial allocation method" defined by Treasury Regulations section 1.704-3(d), Depreciation for such year shall be the amount of book basis recovered for such taxable year under the rule described by Treasury Regulations section 1.704-3(d)(2) and (ii) with respect to any other asset whose Gross Asset Value differs from its adjusted basis for federal income tax purposes at the beginning of such Accounting Period, Depreciation shall be an amount which bears the same ratio to such beginning Gross Asset Value as the United States federal income tax depreciation, amortization or other cost recovery deduction for such Accounting Period bears to such beginning adjusted tax basis; provided, that if the adjusted basis for United States federal income tax purposes of an asset at the beginning of such Accounting Period is zero, Depreciation shall be determined with reference to such beginning Gross Asset Value using any reasonable method selected by the Manager.

"**Distribution**" means a distribution made by the Company to a Member, whether in cash, property or securities of the Company and whether by liquidating Distribution, operating Distribution or otherwise; provided, that none of the following shall be a Distribution: (a) any redemption or repurchase by the Company or any Member of any Units; (b) any recapitalization or exchange of securities of the Company; (c) any subdivision (by a split of Units or otherwise) or any combination (by a reverse split of Units or otherwise) of any outstanding Units; (d) any fees or remuneration paid to any Member in such Member's capacity as a Service Provider for the

Company; or (e) the Management Fee. "**Distribute**" when used as a verb shall have a correlative meaning.

"**Equity Securities**" means any and all Units and any securities of the Company convertible into, or exchangeable or exercisable for, Units, and warrants or other rights to acquire Units.

"**Fair Market Value**" means, as of any date, the purchase price that a willing buyer having all relevant knowledge would pay a willing seller for such asset in an arm's length transaction, as determined by an Appraisal.

"**Financing Document**" means any credit agreement, guarantee, financing or security agreement or other agreements or instruments governing indebtedness of the Company or any Affiliate.

"**Fiscal Year**" means the fiscal year of the Company as determined by the Manager pursuant to Section 2.7.

"**Governmental Entity**" means any domestic or foreign court, arbitral tribunal, administrative agency or commission or other governmental or regulatory agency or authority or any securities exchange, including the United States Internal Revenue Service and any other federal, state, local and non-United States agency, authority, body, entity or unit responsible for the administration and/or collection of any tax.

"**Gross Asset Value**" means, with respect to any asset, the asset's adjusted basis for federal income tax purposes, except as follows:

(a) the initial Gross Asset Value of any asset contributed by a Member to the Company shall be the Fair Market Value of such asset;

(b) the Gross Asset Values of all Company assets may be adjusted to equal their respective Fair Market Values (taking section 7701(g) of the Code into account), as of the following times: (w) the acquisition of an additional Interest in the Company by any new or existing Member in exchange for more than a de minimis Capital Contribution; (z) the Distribution by the Company to a Member of more than a de minimis amount of Company property as consideration for an Interest in the Company; (y) the liquidation of the Company within the meaning of Treasury Regulations section 1.704-1(b)(2)(ii)(g), and (z) any other time so approved by the Manager in order to effect the economic terms of this agreement; provided that an adjustment described in clauses (w) and (x) of this clause (b) shall be made only if the Manager determines, in its sole but reasonable discretion, that such adjustment is necessary to reflect the relative economic interests of the Members in the Company;

(c) the Gross Asset Value of any item of Company assets distributed to a Member shall be adjusted to equal the Fair Market Value (taking section 7701(g) of the Code into account) of such asset on the date of Distribution as determined by the Manager in its sole but reasonable discretion; and

(d) the Gross Asset Value of Company assets shall be increased (or decreased) to reflect any adjustments to the adjusted basis of such assets pursuant to section 734(b) of the Code or section 743(b) of the Code, but only to the extent that such adjustments are taken into account in determining Capital Accounts pursuant to Treasury Regulations section 1.704-1(b)(2)(iv)(m) and clause (g) of the definition of "Net Profits" and "Net Losses" or Section 8.1 of this Agreement; provided, that Gross Asset Values shall not be adjusted pursuant to this clause (d) to the extent that an adjustment pursuant to clause (b) of this definition is required in connection with a transaction that would otherwise result in an adjustment pursuant to this clause (d).

If the Gross Asset Value of an asset has been determined or adjusted pursuant to clause (b) or (d) of this definition, then such Gross Asset Value shall thereafter be adjusted by the Depreciation taken into account with respect to such asset, for purposes of computing Net Profits and Net Losses.

"**Initial Public Offering**" or "**IPO**" means the sale of shares of capital stock following conversion of the Company to a corporation, in a firm commitment underwritten public offering pursuant to an effective registration under the Securities Act.

"**Interest**" means the limited liability interest in the Company which represents the interest of each Member in and to the profits and losses of the Company, and such Member's right to receive Distributions of the Company's assets, as set forth in this Agreement.

"**Involuntary Transfer**" means a transfer of title or beneficial ownership of Interests that occurs in connection with a Member (i) applying for or consenting to the appointment of a receiver, trustee or liquidator of his, her or its property, (ii) making a general assignment for the benefit of creditors, (iii) filing a voluntary petition in bankruptcy, (iv) suffering the entry of any involuntary order, judgment or decree or petition in bankruptcy or appointment of a receiver, trustee or liquidator of his, her or its property, that continues unstayed for any period of sixty (60) days, (v) permitting a judgment to be entered on his, her or its Interests that continues unabated for thirty (30) days; provided, however, the Member shall have an additional ninety (90) days to remove the judgment provided that such Member commences and continues to diligently pursue the removal of same, or (vi) in any manner transferring, or being ordered, required or deemed to be transferring, any of his, her of its Interests pursuant to any court order, including, without limitation, a divorce decree, or by operation of law (other than as a result of any merger, consolidation, conversion or similar transaction to which the Company is a party). For the sake of clarity, the transfer of Interests in connection with the death or disability of a Member shall not constitute an Involuntary Transfer.

"**Involuntary Transferee**" has the meaning set forth in Section 13.2(a).

"**Manager**" means People's Hospitality Inc., a Delaware corporation, or any entity, person or persons hereafter appointed to the position of Manager by the Requisite Class A Members.

"**Member**" has the meaning set forth in the preamble to this Agreement and includes any Person admitted as an additional or substitute Member of the Company pursuant to this Agreement.

"**Net Profits**" and "**Net Losses**" means, with respect to any Accounting Period, net income or net loss of the Company for such Accounting Period, determined in accordance with section 703(a) of the Code, including any items that are separately stated for purposes of section 702(a) of the Code, as determined in accordance with federal income tax accounting principles with the following adjustments:

(e) any income of the Company that is exempt from United States federal income tax shall be included as income;

(f) any expenditures of the Company described in section 705(a)(2)(B) of the Code or treated as expenditures pursuant to section 1.704-1(b)(2)(iv)(i) of the Treasury Regulations shall be treated as current expenses;

(g) any items of income, gain, loss or deduction specially allocated pursuant to this Agreement, including pursuant to Section 8.2, shall be excluded from the determination of Net Profits and Net Losses;

(h) in the event that the Gross Asset Value of any Company asset is adjusted pursuant to clause (b) or clause (c) of the definition of "Gross Asset Value," then the amount of such adjustment shall be treated as an item of gain (if the adjustment increases the Gross Asset Value of such asset) or an item of loss (if the adjustment decreases the Gross Asset Value of such asset) from the disposition of such asset;

(i) gain or loss resulting from any disposition of Company property with respect to which gain or loss is recognized for United States federal income tax purposes shall be computed by reference to the Gross Asset Value of the property disposed of, notwithstanding that the adjusted tax basis of such property differs from its Gross Asset Value;

(j) in lieu of the depreciation, amortization and other cost recovery deductions taken into account in computing such net income or net loss, there shall be taken into account Depreciation of such Accounting Period, computed in accordance with the definition of "Depreciation" set forth in this Agreement; and

(k) to the extent an adjustment to the adjusted tax basis of any Company asset pursuant to section 734(b) of the Code or section 743(b) of the Code is required pursuant to Treasury Regulations section 1.704-1(b)(2)(iv)(m)(4) to be taken into account in

determining Capital Accounts as a result of a Distribution, other than a complete liquidation of a Member's Interest, then the amount of such adjustment shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases the basis of the asset) from the disposition of the asset.

"**Nonrecourse Deductions**" has the meaning set forth in Treasury Regulations section 1.704-2(b)(1).

"**Nonrecourse Liabilities**" has the meaning set forth in Treasury Regulations section 1.704-2(b)(3).

"**Officer**" or "**Officers**" has the meaning set forth in Section 4.5.

"**Partner Nonrecourse Debt**" has the meaning set forth in Treasury Regulations section 1.704-2(b)(4).

"**Partner Nonrecourse Debt Minimum Gain**" means, with respect to each Partner Nonrecourse Debt, an amount equal to the Partnership Minimum Gain that would result if such Partner Nonrecourse Debt were treated as a Nonrecourse Liability, determined in accordance with Treasury Regulations section 1.704-2(i)(3).

"**Partner Nonrecourse Deductions**" has the meaning set forth in Treasury Regulations sections 1.704-2(i)(1) and 1.704-2(i)(2).

"**Partnership Minimum Gain**" has the meaning set forth in sections 1.704-2(b)(2) and 1.704-2(d) of the Treasury Regulations.

"**Partnership Representative**" has the meaning set forth in Section 10.4(a).

"**Percentage Interest**" means the percentage of issued and outstanding Units owned by a Member, calculated as: (x) the total number of Units owned by such Member divided by (y) the total number of Units owned by all Members.

"**Person**" means any individual, corporation, association, partnership (general or limited), joint venture, trust, estate, limited liability company, or other legal entity or organization.

"**Premises**" has the meaning set forth in Section 3.1.

"**Representatives**" has the meaning set forth in Section 4.4.

"**Requisite Class A Members**" means the holders of a majority of the Class A Units, issued and outstanding, that are entitled to vote hereunder.

"**Requisite Class B Members**" means the holders of a majority of the Class B Units, issued and outstanding, that are entitled to vote hereunder.

"**Requisite Members**" means, collectively, (i) the holders of a majority of the Class A Units, issued and outstanding, that are entitled to vote hereunder, and (ii) the holders of a majority of the Class B Units, issued and outstanding, that are entitled to vote hereunder.

"**ROFR Seller**" has the meaning set forth in Section 13.2(b).

"**Securities Act**" means the Securities Act of 1933, as amended from time to time.

"**Service Provider**" means any officers, employees, consultants or other service providers of the Company or any of its Subsidiaries.

"**Subsidiary**" or "**Subsidiaries**" means, with respect to any Person, any other Person of which either (or both) (a) a majority of the outstanding shares or other equity interests having the power to vote for directors or comparable managers, and/or (b) a majority of the beneficial or equity interests (or both), are owned, directly or indirectly, by the first Person.

"**Taxing Authority**" means federal, state, local or foreign taxing authority.

"**Transfer**" means a direct or indirect transfer, sale, pledge, hypothecation or other disposition, or the act of so doing, as the context requires.

"**Treasury Regulations**" means the Regulations of the Treasury Department of the United States issued pursuant to the Code.

"**Undistributed First Priority Capital**" shall mean, with respect to any Member, an amount equal to (a) such Member's aggregate Capital Contributions, reduced (but not below zero) by (b) the aggregate amount of distributions to such Member under ARTICLE IX and ARTICLE XIV.

"**Units**" has the meaning set forth in Section 4.1.

Section 1.2. Terms Generally. The words "hereby", "herein", "hereof", "hereunder" and words of similar import refer to this Agreement as a whole (including the Schedules hereto) and not merely to the specific section, paragraph or clause in which such word appears. All references herein to Articles, Sections, Schedules, Preamble and Recital shall be deemed references to Articles and Sections of, and Schedules, Preamble and Recital to, this Agreement unless the context shall otherwise require. The words "include", "includes" and "including" shall be deemed to be followed by the phrase "without limitation". The definitions given for terms in this Section 1.2 and elsewhere in this Agreement shall apply equally to both the singular and plural forms of the terms defined. Whenever the context may require, any pronoun shall include the corresponding masculine, feminine and neuter forms. References herein to any agreement or letter shall be deemed references to such agreement or letter as it may be amended, restated or otherwise revised from time to time.

ARTICLE II

FORMATION OF THE COMPANY

Section 2.1. Formation. The Company was formed upon the filing of the Articles with the Secretary of State of the State of New York on November 17, 2025.

Section 2.2. Company Name. The name of the Company is Penguin Flagship NYC LLC. The business of the Company may be conducted under such other names as the Manager may from time to time designate, provided that the Company complies with all relevant state laws relating to the use of fictitious and assumed names.

Section 2.3. The Articles, etc. The Manager is hereby authorized to execute, deliver, file and record all such other certificates and documents, including amendments to or restatements of the Articles, and to do such other acts as may be appropriate to comply with all requirements for the formation, continuation and operation of a limited liability company, the ownership of property, and the conduct of business under the laws of the State of New York and any other jurisdiction in which the Company may own property or conduct business.

Section 2.4. Term of Company. The term of the Company commenced on the date the Articles were filed with the Secretary of State of the State of New York and shall continue in existence perpetually until the Company is dissolved in accordance with the provisions of this Agreement.

Section 2.5. Principal Place of Business. The principal place of business of the Company shall be located at such place as the Manager determines from time to time. The location of the Company's principal place of business may be changed by the Manager from time to time in accordance with the then applicable provisions of the Act and any other applicable laws.

Section 2.6. Qualification in Other Jurisdictions. Any authorized person of the Company shall execute, deliver and file any certificates (and any amendments and/or restatements thereof) necessary for the Company to qualify to do business in a jurisdiction in which the Company may wish to conduct business.

Section 2.7. Fiscal Year; Taxable Year. The fiscal year of the Company for tax and financial accounting purposes shall be as determined by the Manager from time to time or such other year as is permitted or required under Section 706 of the Code.

ARTICLE III

PURPOSE AND POWERS OF THE COMPANY

Section 3.1. Purpose. The purposes of the Company are, and the nature of the business to be conducted and promoted by the Company is, developing and operating a restaurant and bar located at a premises in New York City to be identified by the Manager (the "**Premises**"), and

engaging in all acts or activities as the Company deems necessary, advisable or incidental to the furtherance of the foregoing.

Section 3.2. Powers of the Company. The Company shall have the power and authority to take any and all actions that are necessary, appropriate, advisable, convenient or incidental to or for the furtherance of the purposes set forth in Section 3.1.

Section 3.3. Certain Tax Matters. Without the consent of the Manager, neither the Company nor any Subsidiary shall elect, and the Manager shall not cause or permit the Company or any Subsidiary to elect, to be treated as an association taxable as a corporation for U.S. federal, state or local income tax purposes under Treasury Regulations section 301.7701-3 or under any corresponding provision of state or local law.

ARTICLE IV

MEMBERS

Section 4.1. Classes of Units. All interests of the Members in Distributions and other amounts specified in this Agreement, as well as the rights of the Members to vote on, consent to, or approve any matter related to the Company, shall be denominated in units of membership interests in the Company (each a "**Unit**" and collectively, the "**Units**"), and the relative rights, privileges, preferences and obligations of the Members with respect to Units shall be determined under this Agreement and the Act to the extent provided herein and therein. The number and the class of Units held by each Member shall be set forth opposite such Member's name on Schedule A, which shall be maintained confidentially by the Manager. Subject to the terms of Section 5.2 and Article VI, the Manager may from time to time establish or increase the number of authorized Units of a class or issue a new series or class of Interests, without obtaining the consent of any Member or class of Members and in such event, this Agreement may be appropriately amended by the Manager to reflect such increased authorized Units or additional Interests or class or series of Interests.

(a) Class A Units. The Company is authorized to issue certain Class A Units (the "**Class A Units**"). Each holder of a Class A Unit shall be entitled to cast one (1) vote for each such Class A Unit on any matter requiring the approval of the Class A Units, as provided in this Agreement.

(b) Class B Units. The Company is authorized to issue certain Class B Units (the "**Class B Units**"). Each holder of a Class B Unit shall be entitled to cast one (1) vote for each such Class B Unit on any matter requiring the approval of the Class B Units, as provided in this Agreement.

(c) Profit Interests. The Manager may from time to time determine to classify any Units issued to a Service Provider as "profits interests" within the meaning of Rev. Proc. 93-27 ("**Profit Interests**"), and that any and all such Profit Interests received by a Service Provider are received in exchange for the provision of services by the Service Provider to or for the benefit of

the Company in a Service Provider capacity or in anticipation of becoming a Service Provider. The Company and each Service Provider who receives such Profit Interests hereby agree to comply with the provisions of Rev. Proc. 2001-43, and neither the Company nor any Service Provider who receives such Profit Interest shall perform any act or take any position inconsistent with the application of Rev. Proc. 2001-43 or any future Internal Revenue Service guidance or other Governmental Entity that supplements or supersedes the foregoing Revenue Procedures.

Section 4.2. Meetings of Members.

(a) Meetings; Notice of Meetings; Proxies. Meetings of the Members, including any special meeting, may be called by the Manager from time to time. Notice of any such meeting shall be given to all Members not less than ten (10) Business Days prior to the date of such meeting and shall state the location, date and hour of the meeting and, in the case of a special meeting, the nature of the business to be transacted. For the avoidance of doubt, all Members shall be permitted to attend any such meetings remotely, via telephone or video-conferencing software reasonably acceptable to the Manager. An emergency meeting may be called without notice if needed to conduct business which is deemed by the Manager to be necessary. No notice of any meeting of Members need be given to any Member who submits a signed waiver of notice, whether before or after the meeting. Neither the business to be transacted at, nor the purpose of, any regular or special meeting of the Members need be specified in a written waiver of notice. Except as otherwise required by applicable law or by the Articles, the presence in person or by proxy of the holders of record of a majority of the Units entitled to vote shall constitute a quorum for the transaction of business at such meeting. Each meeting of the Members shall be conducted by such Person as the Manager may determine. Each Member may authorize any Person to act for such Member by proxy on all matters in which a Member is entitled to participate. Every proxy must be signed by the Member or such Member's attorney-in-fact. No proxy shall be valid after the expiration of three years from the date thereof unless otherwise provided in the proxy. Every proxy shall be revocable at the pleasure of the Member executing it unless otherwise provided in such proxy.

(b) Voting. If the Manager has fixed a record date, every holder of record of Units entitled to vote at a meeting of Members or to consent in writing in lieu of a meeting of Members shall be entitled to one vote for each such Unit outstanding in such Member's name at the close of business on such record date. If no record date has been so fixed, then every holder of record of Units entitled to vote at a meeting of Members or to consent in writing in lieu of a meeting of Members shall be entitled to one vote for each Unit outstanding in his name on the close of business on the day next preceding the day on which notice of the meeting is given or the first consent in respect of the applicable action is executed and delivered to the Company, or, if notice is waived, at the close of business on the day next preceding the day on which the meeting is held. Except as otherwise required by applicable law, the Articles or this Agreement, the vote of the Requisite Class A Members, Requisite Class B Members and/or Requisite Members (as applicable) at which a quorum is present shall be sufficient for the transaction of any business at such meeting.

(c) Action Without a Meeting. Unless otherwise provided in this Agreement, any action which may be taken at any meeting of the Members may be taken without a meeting, without prior notice and without a vote, if a consent in writing, setting forth the action so taken, shall be signed by the Requisite Class A Members, Requisite Class B Members and/or Requisite Members (as applicable) entitled to vote.

Section 4.3. No Cessation of Membership upon Bankruptcy. A Person shall not cease to be a Member of the Company upon the happening, with respect to such Person, of bankruptcy as provided in the Act, unless otherwise provided herein.

Section 4.4. Confidentiality. By reason of the issuance of the Units, Members will gain access to certain Confidential Information. All Confidential Information shall be kept confidential and shall not be disclosed to any third party except: (i) if applicable, to such Member's attorneys and accountants ("**Representatives**") on a need-to-know-basis (provided, that such Member shall be liable for any unauthorized disclosure or other breach by such Representatives of the confidentiality provisions herein); (ii) to any Person to which such Member offers to Transfer any equity securities of the Company (provided that such Transfer does not violate the terms of this Agreement), provided, further, that the prospective transferee shall agree in advance to be bound by a confidentiality agreement for the benefit of the Company containing provisions substantially similar to the provisions of this Section 4.4; or (iii) in order to comply with any law, rule, regulation or order applicable to such Member. In the event that any Member or any Representative thereof becomes legally compelled by deposition, interrogatory, request for documents, subpoena, civil investigative demand or similar judicial or administrative process to disclose any Confidential Information, the disclosing party shall provide the Company with prompt prior written notice of such requirement and shall cooperate with the Company, at the Company's expense, to obtain a protective order or similar remedy to cause such Confidential Information not to be disclosed.

Section 4.5. Officers. The Manager may appoint individuals as officers of the Company or any Subsidiary (each an "**Officer**" or collectively, the "**Officers**") as it deems necessary or desirable to carry on the business of the Company and the Manager may delegate to such Officers such power and authority as the Manager deems advisable. No Officer need be a Member of the Company. Any individual may hold two or more offices of the Company. Each Officer shall hold office until his or her successor is designated by the Manager or until his or her earlier death, resignation or removal. Any Officer may resign at any time upon written notice to the Manager. Any Officer may be removed by the Manager with or without cause at any time. A vacancy in any office occurring because of death, resignation, removal or otherwise, may, but need not, be filled by the Manager. The terms of this Section 4.5 shall be subject to the terms of any written employment agreement by and between the Company and such Officer, as applicable.

Section 4.6. Interested Members. When any Member directly or indirectly, has a financial or personal interest in a contract or transaction to which the Company is to be a party, the Member is considered to be "interested" in the matter. An interested Member shall disclose that interest and describe to the Members all material facts concerning the matter with complete accuracy and inclusiveness. Provided such full and accurate disclosure is made, and the contract

or transaction is approved by the Manager, such contract or transaction shall not be later subject to revocation on the basis that the terms of such contract or transactions were not fair and commercially reasonable. Any contract or transaction between the Company and the Manager or any Affiliate thereof shall be on terms no less favorable to the Company than those that could be obtained in an arm's-length transaction with an unaffiliated third party, as determined by the Manager acting in good faith and consistent with commercially reasonable market terms.

Section 4.7. Additional Members. Upon the approval of the Manager, and subject to the terms of Section 5.2 and Article VI, the Company may admit additional Members (each an "**Additional Member**"), to be treated as a "Member" for all purposes hereunder. Each Person shall be admitted as an Additional Member at the time such Person (i) executes a joinder agreement to this Agreement, (ii) executes such other documentation as the Manager may require, including if required to comply with applicable securities laws, (iii) complies with the applicable Manager resolution, if any, with respect to such admission, (iv) provides the applicable Capital Contribution to the Company (if any) and (v) is named as a Member in Schedule A hereto. The Manager may designate any such Additional Member as any category or class of Members created by the Manager, with such rights and obligations as the Manager may specify.

Section 4.8. Company's Right of Repurchase. Notwithstanding anything herein or in any other documentation between a Member and the Company to the contrary, at any time following the Manager's determination that a Member holding Class B Units has committed Cause, the Company shall have the right (but not the obligation) to repurchase all of such Member's Units at a purchase price equal to the Fair Market Value thereof as of the date of such Cause event. For the purposes of this Section 4.8, "Cause" shall mean, in respect of any Member (or principal thereof), (i) such Member's conviction of, or plea of guilty or nolo contendere to, a felony involving fraud, embezzlement, theft, or moral turpitude and (ii) such Member's willful misconduct or violation of law that has a demonstrable adverse effect on the Company's reputation, business or business activities, which adverse effect is not cured (to the extent curable) within thirty (30) days after written notice thereof from the Company.

ARTICLE V

MANAGEMENT AND OPERATIONS

Section 5.1. Authority of the Manager.

(a) Subject to the limitations imposed by the Act and this Agreement, the Manager shall have the full and exclusive authority to conduct, manage and control all of the business affairs of the Company and to make all decisions regarding the business of the Company. In furtherance of such authority, the Manager shall have all of the rights and powers provided in this Section 5.1 and, except as otherwise provided by law or this Agreement, any action taken by the Manager shall constitute the act of and serve to bind the Company.

(b) Subject to the limitations imposed by the Act and this Agreement, the Manager is hereby granted the exclusive right, power and authority to:

(i) Manage, operate, maintain and develop the business of the Company, whether at the Premises or otherwise;

(ii) Approve any loan agreements or instruments evidencing debt incurred by the Company in furtherance of any or all of the purposes of the Company, and to secure the same by mortgage, pledge or other lien on any Company property;

(iii) Approve the selection of a bank in which Company funds shall be deposited; the selection of legal counsel; the approval of Company tax returns; and any other matters which the Manager deems to be of fundamental importance to the Company;

(iv) Execute any and all agreements, contracts, documents, certifications, instruments, notes, mortgages, assignments and security agreements necessary or convenient in connection with the operation of the business of the Company;

(v) Protect and preserve the title and interest of the Company with respect to the assets at any time owned or acquired by the Company;

(vi) Collect all amounts due to the Company and otherwise to enforce all rights of the Company, including all of such rights inuring to the benefit of the Company under any agreement for the management of its assets, and, in connection therewith, to retain counsel and institute such suits or proceedings, in the name and on behalf of the Company, or if the Manager shall so determine, in the name of the Members; provided, however, that the Members reserve the right to retain separate counsel to defend against any lawsuits which name the Members as separate parties to such proceedings;

(vii) Enter into contracts with and pay fees or cause others to pay fees to any person or entity;

(viii) Enter into the performance of accounting, bookkeeping, tax, administrative, reporting, receiving and paying of funds and other management services necessary or appropriate for the administration of the Company with any Person;

(ix) Defend and hold harmless any Members against any claim in connection with the Company's business other than a claim by another Member for breach of an obligation under this Agreement;

(x) Designate and appoint one or more employees of or agents for the Company who shall have such authority as may be conferred upon them by the Manager, and who may perform any of the duties and exercise any of the powers and authority conferred upon the Manager hereunder, including, without being limited to, the designation of an agent for service of process on the Company and one or more agents as authorized signatories on any bank accounts maintained by the Company;

(xi) Invest and reinvest Company funds to the extent such funds are not currently required for Company operating capital;

(xii) To the extent that funds of the Company are available and the Manager deems it appropriate, make distributions to the Members in accordance with the provisions of this Agreement;

(xiii) Determine the fair market value of any assets or Interests of the Company (or choose an independent valuation firm to do so); and

(xiv) Engage in any kind of activity and perform and carry out contracts of any kind necessary to, or in connection with or convenient or incidental to, the accomplishment of the purposes of the Company, so long as said activities and contracts may be lawfully carried on or performed by a limited liability company under the laws of the State of New York.

Section 5.2. Limitations on the Manager.

(a) Requisite Class B Member Approval Rights. Notwithstanding anything contained in this Agreement to the contrary, without the prior written consent of the Requisite Class B Members, the Manager shall not, directly, or indirectly, by amendment, merger, recapitalization, sale, consolidation or otherwise, cause the Company to:

(i) Effectuate a Deemed Liquidation Event;

(ii) Purchase or otherwise acquire any capital asset or investment in an amount which would exceed $500,000, individually;

(iii) Other than unsecured trade payables incurred in the ordinary course of business or any governmental loans (including any Small Business Administration loan), grants or like financial assistance made available in connection with COVID-19 or similar emergency relief, borrow money, issue or incur evidences of indebtedness, or grant any security interests in the assets of the Company, or modify, extend, renew, change, or prepay in whole or in part any borrowing, financing, or refinancing, or make any commitments to borrow funds or give any consideration to obtain a commitment for the loan of funds in an amount in excess of $500,000;

(iv) Issue any additional Units (excluding, for the avoidance of doubt, the Class B Units) that are senior to or on parity with the Class B Units in right of redemption, liquidation, voting or distribution; or

(v) Liquidate, dissolve, effect a recapitalization or reorganization in any form of transaction, commence a voluntary case under the U.S. bankruptcy code or any applicable bankruptcy, insolvency or other similar law now or hereafter in effect, consent to the entry of an order for relief in an involuntary case, or the conversion of an involuntary

case to a voluntary case, under any such law, consent to the appointment of or taking possession by a receiver, trustee or other custodian for all or a substantial part of its property, or make a general assignment for the benefit of creditors.

(b) Notwithstanding Section 5.1 above or any other provision contained in this Agreement to the contrary, no act shall be taken, sum expended, decision made, obligation incurred or power exercised by the Manager on behalf of the Company, unless approved by the Requisite Members, with respect to:

(i) Any material change in the character of the business and affairs of the Company; or

(ii) The commission of any act that would contravene any provision of the Articles or this Agreement or the Act.

Section 5.3. Managing Duties.

(a) The Manager shall manage and supervise the Company's business and affairs in an efficient manner that it believes to be in the best interest of the Company.

(b) The Manager shall deal in confidence with all matters involving the Company until such time as there has been a general public disclosure of such matters by the Company or unless required to disclose such matters pursuant to legal or regulatory actions.

(c) When any Member or Manager directly or indirectly, has a financial or personal interest in a contract or transaction to which the Company is to be a party, the Member or Manager is considered to be "interested" in the matter. An interested Member or Manager shall disclose that interest and describe to the Manager (or the Members, as applicable) all material facts concerning the matter with complete accuracy and inclusiveness. Provided such full and accurate disclosure is made, and the contract or transaction is ratified by the Manager (or the Members, as applicable), such contract or transaction shall not be later subject to revocation on the basis that the terms of such contract or transactions were not fair and commercially reasonable. The Manager shall take all actions necessary or appropriate for the continuation of the Company's valid existence as a limited liability company under the laws of the State of New York.

(d) The Manager shall, and shall cause the Company and each Subsidiary of the Company to, meet all current and future federal income tax requirements to ensure that the Company and each such Subsidiary will be classified, and treated and reported, for U.S. federal and any applicable state income tax purposes as either a partnership or "disregarded entity", rather than as an association taxable as a corporation.

(e) The Manager shall direct the affairs of the Company in good faith for the benefit of the Company and its Members, including the safekeeping and use of all Company funds and assets and the use thereof for the benefit of the Company.

(f) The Manager shall, from time to time, prepare and file any amendment to the Certificate and any other similar documents which are required by law to be filed and recorded for any reason in such office or offices as are required under the laws of the State of New York.

Section 5.4. Non-Manager Members.

(a) Except as otherwise set forth in Section 5.2 above or as otherwise provided elsewhere in this Agreement, no Member other than the Manager shall have any right to participate in or take any part in the management or control of the Company's business or have any right or authority to act for or bind the Company.

(b) The Manager shall safeguard and keep confidential all proprietary and confidential information concerning the business of the Company. The Manager may pursue other business interests and may provide services (as an employee, agent, consultant, owner, or otherwise) to other businesses, including businesses involved in the restaurant and hospitality industries.

Section 5.5. Management Fee. In consideration of its administrative, financial, legal and other management services to the Company, the Manager shall be eligible to receive a management fee (the "**Management Fee**"), which amount shall be considered an expense of the Company. The amount of the Management Fee and any compensation paid to the Manager or any Member that is a Service Provider shall be in amounts consistent with the compensation paid to service providers of similarly-situated businesses unless otherwise approved by the Requisite Class B Members.

Section 5.6. Guaranteed Payments. In consideration of their services to the Company, the Manager and each Member holding Class A Units that is a Service Provider shall be eligible to receive guaranteed payments from the Company in an amount to be determined by the Manager, which amounts shall be payable across equal, monthly installments, each of which shall be considered an expense of the Company. Any such guaranteed payments shall be reconciled promptly following the close of each Fiscal Year, and shall constitute "guaranteed payments" within the scope of Section 707(c) of the Code, as amended from time to time.

ARTICLE VI

PREEMPTIVE RIGHTS

Section 6.1. Preemptive Right.

(a) Preemptive Members. In the event that the Company shall propose after the date hereof to issue and/or sell any additional and/or new Equity Securities of the Company (collectively "**New Equity Securities**") or enter into any contracts relating to the issuance or sale of any New Equity Securities, each Member (a "**Preemptive Member**") shall have the right to purchase, at the price and on the terms that the Company proposes to issue and sell the New Equity Securities, up to that portion of such additional New Equity Securities which equals the proportion

that the Units then held by such Preemptive Member bears to the total Units of the Company then outstanding (its "**Pro Rata Share**").

(b) Notice of Preemptive Offer. The Company shall offer to sell to the Preemptive Member such New Equity Securities (the "**Offered New Equity Securities**") at the price and on the terms described above, which shall be specified by the Company in a written notice delivered to the Preemptive Member (the "**Preemptive Offer**"). The Preemptive Offer shall by its terms remain open for a period of at least fifteen (15) calendar days from the date of delivery thereof (the "**Preemptive Offer Notice Period**") and shall specify the date (the "**Preemptive Offer Closing Date**") on which the Offered New Equity Securities will be sold and issued to the accepting Preemptive Member (which shall be at least twenty (20) calendar days but not more than thirty (30) calendar days from the date written notice of the Preemptive Offer is delivered). If waived by or accepted by such Preemptive Member, the Company may close on such portion of the New Equity Securities ahead of the Preemptive Offer Closing Date.

(c) Notice of Acceptance. The Preemptive Member shall have the right, during the Preemptive Offer Notice Period, to notify the Company of its election to purchase any or all of its Pro Rata Share of the Offered New Equity Securities at the purchase price and on the terms stated in the Preemptive Offer. Notice by the Preemptive Member of its acceptance, in whole or in part, of a Preemptive Offer shall be in writing (a "**Notice of Acceptance**") signed by such Preemptive Member (by a duly authorized manager or officer if an entity) and delivered to the Company prior to the end of the Preemptive Offer Notice Period, setting forth the number of Offered New Equity Securities such Preemptive Member elects to purchase. At the expiration of the Preemptive Offer Notice Period, the Company shall promptly notify the Preemptive Member that elects to purchase or acquire all the New Equity Securities available to it of any other Preemptive Member's failure to do likewise. During the ten (10) day period commencing after the Company has given such notice, each fully participating Preemptive Member may, by giving notice to the Company, elect to purchase or acquire, in addition to its Pro Rata Share of such New Equity Securities, up to that portion of the New Equity Securities for which Preemptive Members were entitled to subscribe but that were not subscribed for by the Preemptive Members.

(d) Company Issuances. In the case of any Preemptive Offer, if a Notice of Acceptance given by the Preemptive Member does not cover in the aggregate all of the Offered New Equity Securities, the Company may during the one hundred twenty (120) calendar day period following the Preemptive Offer Closing Date sell to any other Person(s) all or any part of the New Equity Securities not covered by the Notice of Acceptance, but only on the terms and conditions that are no more favorable to such Person(s) or less favorable to the Company than those set forth in the Preemptive Offer and subject to and conditioned upon such Person(s) compliance with Section 4.7 with respect to admission as a new Member. If the Company does not enter into an agreement for the sale of the New Equity Securities within such one hundred twenty (120) calendar day period, the right provided hereunder shall be deemed to be revived and such New Equity Securities shall not be offered unless first reoffered to the Preemptive Member in accordance with this ARTICLE VI.

(e) Subsidiaries. The Company shall cause any issuance of securities by any Subsidiary of the Company that is not to the Company or another Subsidiary of the Company to be done in manner that complies with this Section 6.1, *mutatis mutandis*.

Section 6.2. Assignment and Termination. The preemptive rights granted to the Preemptive Member pursuant to this ARTICLE VI shall be deemed to be extended to all permitted transferees thereof to the extent such permitted transferees are accredited investors. The preemptive rights granted pursuant to this ARTICLE VI shall not apply to and shall terminate and be of no further force and effect upon a Deemed Liquidation Event.

ARTICLE VII

CAPITAL ACCOUNTS; CAPITAL CONTRIBUTIONS

Section 7.1. Capital Accounts. The Company shall establish and maintain a separate capital account (a "**Capital Account**") for each Member. The initial balance in each Member's Capital Account shall be as set forth on Schedule A.

Section 7.2. Adjustments.

(a) The Company shall credit each Member's Capital Account with the amount of cash and the Fair Market Value of other property contributed by such Member to the Company, all as the Company shall set forth on Schedule A. No assets will be contributed to the Company without the approval of the Manager.

(b) As of the end of each Accounting Period, the balance in each Member's Capital Account shall be adjusted by (i) increasing such balance by such Member's (A) allocable share of Net Profits (allocated in accordance with Section 8.1) and (B) the amount of cash and the Fair Market Value of any property (as of the date of the contribution thereof and net of any liabilities encumbering such property) contributed to the Company during such Accounting Period, if any, and (ii) decreasing such balance by (A) the amount of cash and the Fair Market Value of any property (as of the date of the Distribution thereof and net of any liabilities encumbering such property) distributed to such Member during such Accounting Period and (B) such Member's allocable share of Net Losses (allocated in accordance with Section 8.1). Each Member's Capital Account shall be further adjusted with respect to any special allocations pursuant to Section 8.2. The provisions of this Agreement relating to the maintenance of Capital Accounts are intended to comply with Treasury Regulations section 1.704-1(b)(2)(iv) and shall be interpreted and applied in a manner consistent with such Treasury Regulations.

Section 7.3. Capital Contributions. Each Member shall have made a Capital Contribution prior to the date hereof in the amount and/or having a Fair Market Value (to which the Manager hereby acknowledges and agrees) set forth opposite each Member's name on Schedule A. Any contributions of property after the date hereof shall be valued at their Fair Market Value.

Section 7.4. Additional Capital Contributions. No Member shall be required to make any additional Capital Contribution to the Company in respect of the Units then owned by such Member.

Section 7.5. Negative Capital Accounts. Notwithstanding anything herein to the contrary, at no time and under no circumstance shall any Member be required, or otherwise have any obligation, to restore any negative balance that may at any time exist in such Member's Capital Account.

ARTICLE VIII

ALLOCATIONS

Section 8.1. Book Allocations of Net Profits and Net Losses. Except as provided in Section 8.2, Net Profits or Net Losses, as the case may be, with respect to any Accounting Period, including each item of income, gain, loss and deduction of the Company, shall be allocated to and among the Members in a manner such that the Capital Account of each Member, immediately after making such allocation, and after taking into account actual Distributions made during the allocation period (and Distributions with respect to such allocation period to be made after the end of such allocation period if the Manager is able to determine in good faith the manner in which such Distributions will be made pursuant to Section 9.1(c)), is, as nearly as possible, equal (proportionately) to (i) the Distributions that would be made to such Member pursuant to Section 9.1(c) if the Company were to dissolve, its affairs wound up and its assets sold for cash equal to their Gross Asset Value, all Company liabilities, including the Company's share of any liability of any subsidiary treated as a partnership for U.S. federal income tax purposes in which the Company is a partner, were satisfied (limited, with respect to each nonrecourse liability to the Gross Asset Value of the assets securing liability) and the net assets of the Company were distributed in accordance with Section 9.1(c), minus (ii) such Member's share of Partnership Minimum Gain and Partner Nonrecourse Debt Minimum Gain determined pursuant to Treasury Regulation Section 1.704-2(g)(1) and 1.704-2(i)(5), computed immediately prior to the hypothetical sale of assets, if any.

Section 8.2. Special Book Allocations.

(a) Qualified Income Offset. If any Member unexpectedly receives any adjustment, allocation or Distribution described in Treasury Regulations Section 1.704-1(b)(2)(ii)(d)(4), (5) or (6) and such adjustment, allocation or Distribution causes or increases a deficit in such Member's Capital Account in excess of its obligation to make additional Capital Contributions (a "**Deficit**"), items of gross income and gain for such Accounting Period and each subsequent Accounting Period shall be specifically allocated to such Member in an amount and manner sufficient to eliminate, to the extent required by the Treasury Regulations, the Deficit of such Member as quickly as possible; provided, that an allocation pursuant to this Section 8.2(a) shall be made only if and to the extent that such Member would have a Deficit after all other allocations provided for in this ARTICLE VIII have been tentatively made as if this Section 8.2(a) were not in this Agreement. This Section 8.2(a) is intended to comply with the qualified income offset provision

of Treasury Regulations Section 1.704-1(b)(2)(ii)(d) and shall be interpreted in a manner consistent therewith.

(b) Partnership Minimum Gain. Except as otherwise provided in Treasury Regulations Section 1.704-2(f), if there is a net decrease in Partnership Minimum Gain during any Accounting Period, each Member shall be specially allocated items of Company income and gain for such Accounting Period in proportion to, and to the extent of, an amount equal to the portion of such Member's share of the net decrease in Partnership Minimum Gain, determined in accordance with Treasury Regulations Section 1.704-2(g). This Section 8.2(b) is intended to comply with the chargeback of items of income and gain requirement in Treasury Regulations Section 1.704-2(f) and shall be interpreted consistently therewith.

(c) Partner Minimum Gain Chargeback. Except as otherwise provided in Treasury Regulations Section 1.704-2(i)(4), notwithstanding any other provision of this ARTICLE VIII, if there is a net decrease in Partner Nonrecourse Debt Minimum Gain attributable to Partner Nonrecourse Debt during any taxable year, then each Member who has a share of the Partner Nonrecourse Debt Minimum Gain attributable to such Partner Nonrecourse Debt, determined in accordance with Treasury Regulations Section 1.704-2(i)(5), shall be specially allocated items of Company income and gain for such Accounting Period (and, if necessary, subsequent Accounting Periods) in an amount equal to such Member's share of the net decrease in Partner Nonrecourse Debt, determined in accordance with Treasury Regulations Section 1.704-2(i)(4). This Section 8.2(c) is intended to comply with the minimum gain chargeback requirement in Treasury Regulations Section 1.704-2(i)(4) and shall be interpreted consistently therewith.

(d) Nonrecourse Deductions. Nonrecourse Deductions for any Accounting Period shall be specially allocated to the Members in proportion to their respective Percentage Interests.

(e) Partner Nonrecourse Deductions. Any Partner Nonrecourse Deductions for any Accounting Period shall be specially allocated to the Member who bears the economic risk of loss with respect to the Partner Nonrecourse Debt to which such Partner Nonrecourse Deductions are attributable in accordance with Treasury Regulations Section 1.704-2(i)(1).

(f) Section 754 Adjustments. To the extent an adjustment to the adjusted tax basis of any Company asset, pursuant to Section 734(b) of the Code or Section 743(b) of the Code is required, pursuant to Treasury Regulations Sections 1.704-1(b)(2)(iv)(m)(2) or 1.704-1(b)(2)(iv)(m)(4), to be taken into account in determining Capital Accounts as the result of a Distribution to a Member in complete liquidation of such Member's Interest in the Company, then the amount of such adjustment to Capital Accounts shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases such basis) and such gain or loss shall be specially allocated to the Members in accordance with their interests in the Company in the event Treasury Regulations Section 1.704-1(b)(2)(iv)(m)(2) applies, or to the Member to whom such Distribution was made, in the event Treasury Regulations Section 1.704-1(b)(2)(iv)(m)(4) applies.

(g) Loss Limitation. Net Losses allocated pursuant to this ARTICLE VIII shall not exceed the maximum amount of Net Losses that can be allocated without causing any Member to have an Adjusted Capital Account Deficit at the end of any Accounting Period. In the event that some but not all of the Members would have Adjusted Capital Account Deficits as a consequence of an allocation of Net Losses pursuant to this ARTICLE VIII, then the limitation set forth in this Section 8.2(g) shall be applied on a Member by Member basis and Net Losses not allocable to any Member as a result of such limitation shall be allocated to the other Members in accordance with the positive balances in such Member's Capital Accounts so as to allocate the maximum permissible Net Losses to each Member under Treasury Regulations Section 1.704-1(b)(2)(ii)(d).

(h) Restorative Allocations. Any special allocations of items of income or gain pursuant to this Section 8.2(h) shall be taken into account in computing subsequent allocations pursuant to this Agreement, so that the net amount for any item so allocated and all other items allocated to each Member pursuant to this Agreement shall be equal, to the extent possible, to the net amount that would have been allocated to each Member pursuant to the provisions of this Agreement if such special allocations had not occurred.

Section 8.3. Tax Allocations. The income, gains, losses, credits and deductions recognized by the Company shall be allocated among the Members, for U.S. federal, state and local income tax purposes, to the extent permitted under the Code and the Treasury Regulations, in the same manner that each such item is allocated to the Members' Capital Accounts. Notwithstanding the foregoing, the Manager shall have the power to adjust such allocations so long as such adjusted allocations have substantial economic effect or are in accordance with the Members' Interests, in each case within the meaning of the Code and the Treasury Regulations. In accordance with Section 704(c) of the Code and the Treasury Regulations thereunder, income, gain, loss and deduction with respect to any property contributed to the capital of the Company shall, solely for tax purposes, be allocated among the Members so as to take account of any variation between the adjusted basis of such property to the Company for U.S. federal income tax purposes and its fair market value at the time of contribution using the "traditional method" under Treasury Regulations Section 1.704-3(b) or such method that is permissible under Section 704(c) of the Code and the Treasury Regulations thereunder and which is approved by the Manager. In the event the Gross Asset Value of any Company asset is adjusted pursuant to clause (b) of the definition of Gross Asset Value, subsequent allocations of income, gain, loss, and deduction with respect to such asset shall take account of any variation between the adjusted basis of such asset for federal income tax purposes and its Gross Asset Value in the same manner as under Section 704(c) of the Code and the Treasury Regulations thereunder. All matters concerning allocations for U.S. federal, state and local and non-U.S. income tax purposes, including accounting

procedures, not expressly provided for by the terms of this Agreement shall be determined by the Manager in its sole discretion.

ARTICLE IX

DISTRIBUTIONS

Section 9.1. Distributions

(a) Generally. Subject to Section 9.1(b), Section 9.1(c) and Section 9.4, the Manager shall have the sole discretion regarding the amounts and timing of Distributions to Members.

(b) Restricted Distributions. Notwithstanding any provision to the contrary in this Agreement, the Company shall not make any Distribution to Members if such Distribution would violate the Act, any Financing Document or other applicable law.

(c) Priority of Distributions. Subject to ARTICLE XIV, each Distribution shall be apportioned between the Members in accordance with the following order of priority:

(i) First, until each Member holding Class B Units has received aggregate Distributions equal to such Member's Undistributed First Priority Capital, (A) thirty percent (30%) to the Members holding Class A Units, pro rata based on their Class A Percentage Interests, and (B) seventy percent (70%) to the Members holding Class B Units, pro rata based on their Class B Percentage Interests; and

(ii) Thereafter, (A) seventy percent (70%) to the Members holding Class A Units, pro rata based on their Class A Percentage Interests, and (B) thirty percent (30%) to the Members holding Class B Units, pro rata based on their Class B Percentage Interests.

Notwithstanding the foregoing, with respect to Units that are Profits Interests, the amounts otherwise distributable in respect of such Profits Interests pursuant to this Section 9.1(c) shall be subject to any applicable threshold amounts pursuant to such Profit Interest's award agreement (i.e., distributions that would otherwise be made in respect of such Profits Interests will be foregone by the Profits Interest holder and made available as if new amounts available for distribution under Section 9.1(c)).

Section 9.2. No Withdrawal of Capital. Except as otherwise expressly provided in ARTICLE XIV, no Member shall have the right to withdraw capital from the Company or to receive any Distribution or return of such Member's Capital Contributions.

Section 9.3. Withholding.

(a) Each Member shall indemnify and hold harmless each Person who is the responsible withholding agent for U.S. federal, state or local income tax purposes against all claims,

liabilities and expenses of whatever nature (but, in each case, excluding any penalties and accrued interest that results from such Person's fraud, willful misfeasance, bad faith or gross negligence) solely relating to such Person's obligation to withhold and to pay over any U.S. federal, state, or local income taxes imposed on such Member and the employee's share of social security, Medicare, and federal unemployment taxes imposed on such Member, if any.

(b) Notwithstanding any other provision of this ARTICLE IX, (i) each Member hereby authorizes the Company or, if applicable, any Subsidiary of any Company to withhold and pay over, or otherwise pay, from Distributions or other amounts that would otherwise be distributable or payable to such Member any withholding and other taxes that are required by applicable law to be withheld and paid over and/or otherwise paid to any Governmental Entity for and/or with respect to such Member or any Distribution, payment or allocation to or in respect of such Member and/or, otherwise, as a result of such Member's participation in the Company, and which the Company shall (and the Manager shall cause the Company and/or as applicable any Subsidiary of the Company to) so timely withhold and pay over and/or otherwise timely pay to the relevant Governmental Entity and (ii) such amount so withheld and paid over and/or otherwise paid for and/or with respect to any Member shall be deemed for all purposes of this Agreement to be an amount Distributed to such Member pursuant to Section 9.1 hereof (including by reason of the application of Section 13.2 hereof); provided, however, if and to the extent not constituting an amount actually reducing the amount of any Distribution or payment that would have otherwise been made to such Member, such amount shall constitute and be treated as a Tax Distribution subject to the last sentence of Section 9.4. To the extent that the aggregate of such payments to a Member for any period exceeds the Distributions to which such Member is entitled for such period, such Member shall make a prompt payment to the Company of such amount.

Section 9.4. Tax Distributions. In the event the Company allocates net taxable income to any of the Company's Members for any Accounting Period, then the Manager shall approve a Distribution ("**Tax Distribution**" for such Accounting Period) by the Company of cash to such Members for the purpose of allowing such Members to satisfy their tax liability arising as a result of such allocation (including, without limitation, allocations under Section 704(c) of the Code and the Treasury Regulations thereunder and, otherwise, pursuant to Section 8.3 hereof), less the amount of any Distributions made to such Member during such Accounting Period and by no later than thirty days following such Accounting Period and which were not taken into account in determining the amount of tax distributions for a prior Accounting Period. Tax Distributions made pursuant to the foregoing shall be treated as advances against Distributions or other payments next payable to the recipient Members. The amount of Tax Distributions shall be the product of: (a) the amount of allocable taxable income; and (b) the highest combined federal, state and local tax rate to which a New York City resident individual is subject for the applicable tax year.

ARTICLE X

BOOKS AND RECORDS

Section 10.1. General Information Rights. The Manager shall keep the other Members reasonably informed on a timely basis of any material fact, information, litigation or other matter that Manager reasonably expects (in Manager's discretion) to have a material impact on the operations or financial position of the Company. The Manager shall provide such material information relating to the Company or the management or operation of the Company as any Member may reasonably request from time to time.

Section 10.2. Books, Records and Financial Statements. The Company shall keep adequate books and records at its principal place of business, which shall set forth an accurate account of all transactions of the Company as well as the other information required by the Act. Upon reasonable request and prior written notice from a Member, the Company shall furnish copies of and/or provide access to (in Company's sole discretion) (i) true information regarding the status of the business and financial condition of the Company; (ii) promptly after becoming available, a copy of the Company's federal, state and local income tax returns for each year; (iii) a current list of the name and last known business, residence or mailing address of each Member and Manager; (iv) a copy of any written limited liability company agreement and certificate of formation and all amendments thereto, together with executed copies of any written powers of attorney pursuant to which the limited liability company agreement and any certificate and all amendments thereto have been executed (if applicable); (v) true information regarding the amount of cash and a description; and (vi) other information regarding the affairs of the Company as is just and reasonable; provided that, notwithstanding the foregoing, the Company may redact or otherwise decline to disclose any identifying information about a specific Member if so requested by such Member or otherwise determined by the Company in its sole discretion.

Section 10.3. Information Rights.

(a) Upon the request of any Member holding Class B Units, the Company shall furnish to such Member the following reports, as soon as available and, at the latest, within ninety (90) days of the end of the applicable reporting period: (i) unaudited balance sheets of the Company as of the end of each Fiscal Year and unaudited statements of income, cash flows, and Members' equity for each Fiscal Year, such financial statements prepared in accordance with generally accepted accounting principles, applied on a basis consistent with prior years, (ii) unaudited balance sheets of the Company as of the end of each such fiscal quarter and unaudited statements of income, cash flows, and Members' equity for such fiscal quarter, all prepared in accordance with GAAP, consistently applied, and (iii) such other information as such Member certifies in writing that it is required to have, upon advice of counsel, for the purposes of enabling such Member or its affiliates to comply with their legal, tax and regulatory obligations.

(b) The Company will provide such additional information upon a Member's request, but no more than twice annually, as is reasonably necessary to verify the Company's compliance with this Agreement.

Section 10.4. Partnership Representative; Filings of Returns and Other Writings.

(a) Partnership Representative.

(i) Appointment; Resignation. The Members hereby appoint Emmet McDermott as the "partnership representative" (the "**Partnership Representative**") as provided in Section 6223(a) of the Code (as amended by the Bipartisan Budget Act of 2015 (the "**BBA**")). The Partnership Representative may resign at any time if there is another qualifying Member to act as the Partnership Representative and shall resign if it is no longer a Member or a Manager. In the event of the resignation of the Partnership Representative, the Requisite Class A Members shall select a replacement Partnership Representative. If the resignation of the Partnership Representative occurs prior to the effectiveness of the resignation under applicable Treasury Regulations or other administrative guidance, the resignation shall be effective upon the earliest date provided for in such Treasury Regulations or administrative guidance.

(ii) Tax Examinations and Audits. The Partnership Representative is authorized and required to represent the Company (at the Company's expense) in connection with all examinations of the Company's affairs by Taxing Authorities, including resulting administrative and judicial proceedings, and to expend Company funds for professional services and reasonable costs associated therewith. The Partnership Representative shall have sole authority to act on behalf of the Company in any such examinations and any resulting administrative or judicial proceedings, and shall have sole discretion to determine whether the Company (either on its own behalf or on behalf of the Members) will contest or continue to contest any tax deficiencies assessed or proposed to be assessed by any Taxing Authority. The Partnership Representative shall use commercially reasonable efforts to provide the Members with the same information which the Members would be entitled to receive for periods prior to January 1, 2018 if each such Member was a "notice partner" within the meaning of Section 6231(a)(8) of the Code as in effect prior to its amendment by the BBA.

(iii) BBA Elections. To the extent permitted by applicable law and Treasury Regulations, the Company will annually elect out of the procedures under Section 1101 of the BBA (the "**BBA Procedures**") pursuant to Section 6221(b) of the Code (as amended by the BBA). For any year in which applicable law and Treasury Regulations do not permit the Company to elect out of the BBA Procedures, then within forty-five (45) days of any notice of final partnership adjustment, the Company will elect the alternative procedure under Section 6226 of the Code, as amended by Section 1101 of the BBA, and furnish to the Internal Revenue Service and each Member during the year or years to which the notice of final partnership adjustment relates a statement of the Member's share of any adjustment set forth in the notice of final partnership adjustment.

(iv) Tax Returns and Tax Deficiencies. Each Member agrees that such Member shall not treat any Company item inconsistently on such Member's federal, state, foreign or other income tax return with the treatment of the item on the Company's return.

Any deficiency for taxes imposed on any Member (including penalties, additions to tax or interest imposed with respect to such taxes and any taxes imposed pursuant to Section 6226 of the Code as amended by the BBA) will be paid by such Member and if required to be paid (and actually paid) by the Company, will be recoverable from such Member as provided in Section 9.3(a).

(v) Income Tax Elections. Except as otherwise provided herein, the Partnership Representative shall have sole discretion to make any determination regarding income tax elections it deems advisable on behalf of the Company; provided, that the Partnership Representative will make an election under Section 754 of the Code, if requested in writing by another Member so long as the Member agrees to pay on behalf of the Company any incremental cost of making and causing accounting required thereby to be done that is reasonably requested by the Company.

(b) Tax Returns. At the expense of the Company, the Manager shall endeavor to cause the preparation and timely filing (including extensions) of all tax returns required to be filed by the Company pursuant to the Code as well as all other required tax returns in each jurisdiction in which the Company owns property or does business. As soon as reasonably possible after the end of each Fiscal Year, the Manager will cause to be delivered to each Person who was a Member at any time during such Fiscal Year, IRS Schedule K-1 to Form 1065 and such other information with respect to the Company as may be necessary for the preparation of such Person's federal, state and local income tax returns for such Fiscal Year.

(c) Company Funds. All funds of the Company shall be deposited in its name, or in such name as may be designated by the Manager, in such checking, savings or other accounts, or held in its name in the form of such other investments as shall be designated by the Manager. The funds of the Company shall not be commingled with the funds of any other Person. All withdrawals of such deposits or liquidations of such investments by the Company shall be made exclusively upon the signature or signatures of such Officer(s) as the Manager may designate.

ARTICLE XI

INTELLECTUAL PROPERTY

Section 11.1 Notwithstanding anything contained herein to the contrary, it is expressly understood that the Manager shall exclusively own all trademarks, service marks, copyrights, patents, domain names, trade secrets, logos, processes, methods, databases and data collections, customer lists, menus, cooking methods, recipes, concepts, ideas, inventions, and any other proprietary, intellectual, or industrial property rights of any kind or nature now known or hereafter recognized in any jurisdiction worldwide which is used in any way or manner in connection with the business and affairs of the Company or its parents and Affiliates, now or in the future (together, the "**Intellectual Property**"), whether created or written by a Member, Manager, employee, principal, or agent of the Company, alone or with others, during a period of association with the Company, and whether or not such Intellectual Property can be patented, copyrighted, or trademarked. The Members shall promptly disclose and relinquish all Intellectual Property created

by them or their agents to the Manager, and shall execute all documents reasonably requested by the Manager for vesting in Manager the entire right, title, and interest to the Intellectual Property. The Company shall have an irrevocable, royalty-free, non-exclusive license to use the Intellectual Property in connection with its ordinary business.

Section 11.2 Outside Ventures. Notwithstanding anything to the contrary herein contained, the Manager may, at any time and at no cost or penalty, freely utilize some or all aspects of the Intellectual Property in connection with one or more outside businesses, engagements, or ventures of any kind (each, an "**Outside Venture**"), and it is hereby acknowledged and agreed by the Members as follows: (i) no Member apart from the Manager shall have any interest or expectancy in any such Outside Venture or the profits or revenues which may be derived thereby; and (ii) with respect to any Outside Venture, to the fullest extent permitted by law, the doctrine of corporate opportunity, or any other analogous doctrine, shall not apply.

ARTICLE XII

LIABILITY, EXCULPATION AND INDEMNIFICATION

Section 12.1. Liability. Except as otherwise provided by the Act, the debts, obligations and liabilities of the Company, whether arising in contract, tort or otherwise, shall be solely the debts, obligations and liabilities of the Company, and no Covered Person shall be obligated personally for any such debt, obligation or liability of the Company solely by reason of being a Covered Person.

Section 12.2. Exculpation. No Covered Person shall be liable to the Company or any other Covered Person for any loss, damage or claim incurred by reason of any act or omission performed or omitted by such Covered Person in good faith on behalf of the Company and in a manner believed to be within the scope of authority conferred on such Covered Person by this Agreement, except that a Covered Person shall be liable for any such loss, damage or claim incurred by reason of such Covered Person's gross negligence, willful misconduct or willful breach of this Agreement.

Section 12.3. Fiduciary Duty. Any duties (including fiduciary duties) of a Covered Person to the Company or to any other Covered Person that would otherwise apply at law or in equity are hereby eliminated to the fullest extent permitted under the Act and any other applicable law; provided, that (a) the foregoing shall not eliminate the obligation of each Covered Person to act in compliance with the express terms of this Agreement and (b) the foregoing shall not be deemed to eliminate the implied contractual covenant of good faith and fair dealing. A Covered Person acting under this Agreement shall not be liable to the Company or to any other Covered Person for its good faith reliance on the provisions of this Agreement or on the advice of experts or such Covered Person's attorney or accountant.

Section 12.4. Indemnification. To the fullest extent permitted by applicable law, a Covered Person shall be entitled to indemnification from the Company for any loss, damage or

claim incurred by such Covered Person by reason of any act or omission performed or omitted by such Covered Person in good faith on behalf of the Company and in a manner believed to be within the scope of authority conferred on such Covered Person by this Agreement, except that no Covered Person shall be entitled to be indemnified in respect of any loss, damage or claim incurred by such Covered Person by reason of such Covered Person's or any Related Party's gross negligence, willful misconduct or willful breach of this Agreement with respect to such acts or omissions; provided, that any indemnity under this Section 12.4 shall be provided out of and to the extent of Company assets only, and no Covered Person shall have any personal liability on account thereof. Any indemnification obligation under this Section 12.4 shall survive the termination of this Agreement.

Section 12.5. Expenses. To the fullest extent permitted by applicable law, expenses (including, without limitation, reasonable attorneys' fees, disbursements, fines and amounts paid in settlement) incurred by a Covered Person in defending any claim, demand, action, suit or proceeding relating to or arising out of their performance of their duties on behalf of the Company shall, from time to time, be advanced by the Company prior to the final disposition of such claim, demand, action, suit or proceeding upon receipt by the Company of an undertaking by or on behalf of the Covered Person to repay such amount if it shall ultimately be determined by a court of competent jurisdiction that the Covered Person is not entitled to be indemnified as authorized in Section 12.4.

ARTICLE XIII

TRANSFERS OF INTERESTS

Section 13.1. Restrictions on Transfers of Interests by Members. No Member may Transfer any Interests (including, without limitation to any other Member, or by gift, or by operation of law or otherwise), unless expressly provided in this ARTICLE XIII. Any Transfer that does not comply with this ARTICLE XIII shall be void ab initio and of no force or effect. Without limiting the generality of the foregoing, any Transfer in violation of, or that might reasonably be expected to cause a violation of applicable law (including, without limitation, any rules or regulations promulgated by the New York State Liquor Authority or any successor thereof) or any transfer which may reasonably cause damage to the Company or put the Company's licenses at risk shall be void ab initio and of no further force or effect. The terms and conditions of this ARTICLE XIII shall terminate and be of no further force or effect immediately prior to consummation of an IPO. Except as expressly set forth in this ARTICLE XIII, no Member may Transfer any Interests without the prior written approval of the Manager, such approval not to be unreasonably withheld.

Section 13.2. Limited Exceptions for Transfers.

(a) Involuntary Transfers. Any Involuntary Transfer shall be void unless the Member complies with this Section 13.2(a) and enables the Company to exercise in full its rights hereunder. Upon any Involuntary Transfer, the Interests of such Member shall automatically convert into non-voting Interests and the Company shall have the right to purchase such Interests

pursuant to this Section 13.2(a) and the Person to whom such Interests have been Transferred (the "**Involuntary Transferee**") shall have the obligation to sell such Interests in accordance with this Section 13.2(a). Upon the Involuntary Transfer of any Interest, such Member shall promptly (but in no event later than two days after such Involuntary Transfer) furnish written notice to the Company indicating that the Involuntary Transfer has occurred, specifying the name of the Involuntary Transferee, giving a detailed description of the circumstances giving rise to, and stating the legal basis for, the Involuntary Transfer. Upon the receipt of the notice, and for 60 days thereafter, the Company shall have the right to purchase, and the Involuntary Transferee shall have the obligation to sell, all (but not less than all) of the Interests acquired by the Involuntary Transferee for a purchase price equal to the lesser of (i) the Fair Market Value of such Interest, as determined by the Manager in its reasonable discretion, and (ii) the amount of the indebtedness or other liability that gave rise to the Involuntary Transfer plus the excess, if any, of the Carrying Value of such Interests over the amount of such indebtedness or other liability that gave rise to the Involuntary Transfer. The Company shall have the right to assign to any of the Members, all or any portion of its rights and obligations under this Section 13.2(a), provided that any such assignment or assumption is accepted by such Members. If the Company has not exercised its right to purchase Interests hereunder within 15 days of receipt by the Company of the letter, notice or other occurrence giving rise to such rights, then the Members shall have the right to require the Company to assign such rights. The Members shall have the right to assign to one or more of their Affiliates all or any of their rights to purchase Interests pursuant to this Section 13.2(a). Notwithstanding any other provision to the contrary in this ARTICLE XIII, but subject to the requirements of Section 13.8, a Member shall be permitted to Transfer its Interest to (i) such Member's spouse, parent, siblings, descendants (including adoptive relationships and stepchildren) and the spouses of each such natural persons (collectively, "**Family Members**"); (ii) a trust under which the distribution of Interests may be made only to such Member and/or any Family Member of such Member; (iii) a charitable remainder trust, the income from which will be paid to such Member during his or her life; (iv) a corporation, partnership or limited liability company, the stockholders, partners or members of which are only such Member and/or Affiliates or Family Members of such Member; or (v) by will or by the laws of intestate succession, to such Member's executors, administrators, testamentary trustees, legatees or beneficiaries (each of the Persons in clauses (i) – (v), a "**Permitted Transferee**").

(b) Right of First Refusal. Notwithstanding anything to the contrary in Section 13.1, in the event that any Member (collectively with such Member's successors, heirs, executors, or administrators, the "**ROFR Seller**") proposes to Transfer any Units (the "**ROFR Units**"), the ROFR Seller shall deliver a written notice (an "**Offer Notice**") to the Company. The Offer Notice shall disclose in reasonable detail the proposed number and class of Units to be transferred and the proposed terms (including price and whether paid in one lump sum or in installments) and conditions of the Transfer (the "**Minimum Sale Terms**"). First, the Company, upon the written approval of the Manager, may elect to purchase up to all of the ROFR Units specified in the Offer Notice at the price and on the terms specified therein by delivering written notice of such election to the ROFR Seller as soon as practical but in any event within thirty (30) days after the delivery of the Offer Notice. If the Company has not elected to purchase all of the ROFR Units within such thirty (30) day period, the Members holding Class A Units may

elect to purchase all (but not less than all) of such ROFR Units not purchased by the Company (the "**Remaining Units**") at the price and on the terms specified in the Offer Notice by delivering written notice of such election to the ROFR Seller as soon as practical, but in any event within fifteen (15) days after delivery of the Offer Notice. If the Company and/or the Members holding Class A Units have elected to purchase all of the ROFR Units from the ROFR Seller, the Transfer of such Units shall be consummated as soon as practical after the delivery of the election notices, but in any event within sixty (60) days after the delivery of the Offer Notice. To the extent the Company and the Members holding Class A Units have not elected to purchase all of the ROFR Units, the ROFR Seller may, within sixty (60) days after the delivery of the Offer Notice, Transfer such ROFR Units to one (1) or more third-parties approved by the Manager at a price no less than the price per unit specified in the Offer Notice and on other terms no more favorable to the transferee(s) than set forth in the Offer Notice. Notwithstanding the foregoing, this Section 13.2(b) shall not apply to repurchases by the Company of any Class A Units as a result of the termination of service of any Member holding Class A Units and in accordance with such Member's applicable purchase or award agreement.

Section 13.3. Tag Along Right. In the event that at any time Members propose to consummate a sale of fifty percent (50%) or more of the Units then-issued and outstanding to one or more Persons other than the Company or any Affiliate or any of the Members or their Affiliates, the Members proposing to transfer such Units shall give each Member written notice of such proposed transfer. Each Member shall then have the right, exercisable by written notice to the Company within five (5) days following delivery of the notice referred to in the foregoing sentence, to participate pro rata in such sale by selling a pro rata portion of such Member's Interests (equal to the product of (a) the aggregate number of Units proposed to be transferred in connection with such sale, multiplied by (b) a fraction, the numerator of which is the number of Units owned by such Member and the denominator of which is the total number of Units outstanding as of such date) on substantially the same (and no less favorable) terms (including with respect to representations, warranties and indemnification) as the selling Members, provided, however, that any representations and warranties relating specifically to any Member shall only be made by that Member and any indemnification provided by the Members (other than in respect of representations and warranties relating to any such Member's title to or ownership of the Interests being sold by such Member in the proposed sale and such Member's authority, power and right to enter into and consummate such transaction without violating any other agreement or legal requirement) shall be based on the proceeds to be received by each Member in the proposed sale, either on a several, not joint, basis or solely with recourse to an escrow established for the benefit of the proposed purchaser.

Section 13.4. Drag Along Right.

(a) Drag Along Right Generally. If a Deemed Liquidation Event is approved by each of (i) the Requisite Members and (ii) the Manager, each Member shall vote in favor of, and adopt, such Deemed Liquidation Event and shall execute and deliver all related documentation and take such other action in support of the Deemed Liquidation Event as may reasonably be requested by the Company to carry out the terms and provision of this Section 13.4, including executing and

delivering instruments of conveyance and transfer, and any purchase agreement, merger agreement, indemnity agreement, escrow agreement, consent, waiver, governmental filing, unit certificates duly endorsed for transfer (free and clear of impermissible liens, claims and encumbrances) and any similar or related documents.

(b) Exceptions to Drag Along Right. Notwithstanding the foregoing, a Member need not comply with Section 13.4(a) above in connection with any proposed sale of the Company (the "**Proposed Sale**") unless: (a) any representations and warranties to be made by the Member in connection with the Proposed Sale are limited to representations and warranties related to authority, ownership and the ability to convey title to such Member's Units, including representations and warranties that (i) the Member holds all right, title and interest in and to the Units the Member purports to hold, free and clear of all liens and encumbrances, (ii) the obligations of the Member in connection with the transaction have been duly authorized, if applicable, (iii) the documents to be entered into by the Member have been duly executed by the Member and delivered to the acquirer and are enforceable against the Member in accordance with their respective terms and, (iv) neither the execution and delivery of documents to be entered into in connection with the transaction, nor the performance of the Member's obligations thereunder, will cause a breach or violation of the terms of any agreement, law, or judgment, order, or decree of any court or governmental agency; (b) the Member will not be liable for the inaccuracy of any representation or warranty made by any other Person in connection with the Proposed Sale, other than the Company (except to the extent that funds may be paid out of an escrow established to cover breach of representations, warranties, and covenants of the Company as well as breach by any equity holder of any identical representations, warranties and covenants provided by all equity holders); (c) the liability for indemnification, if any, of the Member in the Proposed Sale and for the inaccuracy of any representations and warranties made by the Company or its Members in connection with such Proposed Sale, is several and not joint with any other Person (except to the extent that funds may be paid out of an escrow established to cover breach of representations, warranties and covenants of the Company as well as breach by any equity holder of any identical representations, warranties, and covenants provided by all equity holders); (d) liability will be limited to the Member's applicable share (determined based on the respective proceeds payable to each Member in connection with the Proposed Sale in accordance with the provisions of this Agreement) of a negotiated aggregate indemnification amount that applies equally to all Members but that in no event exceeds the amount of consideration otherwise payable to the Member in connection with the Proposed Sale, except with respect to claims related to fraud by the Member, the liability for which need not be limited as to the Member; and (e) upon the consummation of the Proposed Sale, (i) each holder of Units will receive the same form of consideration for their Units as is received by other holders in respect of their class of Units, and (ii) unless the Requisite Members so elect, the aggregate consideration receivable by all holders of the Units shall be allocated among the holders of the Units on the basis of the relative distributions to which the Members are entitled in accordance with ARTICLE IX.

Section 13.5. Effect of Assignment. The Company shall, from the effective date of any permitted assignment of an Interest (or part thereof), thereafter pay all further Distributions on account of such Interest (or part thereof) to the assignee of such Interest (or part thereof); provided,

that such assignee shall have no rights or powers as a Member unless such assignee complies with Section 13.6.

Section 13.6. Substitute Members. In the event any Member Transfers their Interest in compliance with the other provisions of this ARTICLE XIII and the Act, the transferee thereof shall have the right to become a substitute Member, but only upon satisfaction of the following: (i) execution of such instruments as the Manager deems reasonably necessary or desirable to effect such substitution, and (ii) acceptance and agreement in writing by the transferee of the Member's Interest to be bound by all of the terms and provisions of this Agreement.

Section 13.7. [Intentionally omitted].

Section 13.8. Overriding Provisions.

(a) Any Transfer in violation of this ARTICLE XIII shall be null and void *ab initio*, and the provisions of Section 13.6 and Section 13.5 shall not apply to any such Transfers. The approval of any Transfer in any one or more instances shall not limit or waive the requirement for such approval in any other or future instance.

(b) All Transfers permitted under this ARTICLE XIII are subject to Section 13.5, Section 13.6 and this Section 13.8.

(c) Any proposed Transfer by a Member pursuant to the terms of this ARTICLE XIII shall, in addition to meeting all of the other requirements of this Agreement, satisfy the following conditions: (i) the Transfer will not be effected on or through an "established securities market" or a "secondary market or the substantial equivalent thereof," as such terms are used in Treasury Regulations Section 1.7704-1, and, at the request of the Manager, the transferor and the transferee will have each provided the Company a certificate to such effect; and (ii) the proposed transfer will not result in the Company having more than 99 Members, within the meaning of Treasury Regulations Section 1.7704-1(h)(1) (determined pursuant to the rules of Treasury Regulations Section 1.7704-1(h)(3)). The Manager may in its sole discretion waive the condition set forth in clause (ii) of this Section 13.8(c) if the proposed Transfer will not otherwise result in the Company being treated as a "publicly traded partnership" within the meaning of Section 7704(b) of the Code and the Treasury Regulations thereunder.

(d) (1) If a Member (which term for purposes of this Section 13.8(d) shall include any economic assignee who has not been admitted as a Member) who proposes to Transfer its Units in the Company (or if such Member is a disregarded entity for U.S. federal income tax purposes, the first indirect holder of such Member that is not a disregarded entity (the "**Member's Owner**")) is a "United States person" as defined in Section 7701(a)(30) of the Code, then such Member (or the Member's Owner, if applicable) shall complete and provide to both of the transferee and the Company, a duly executed affidavit in the form provided to such transferring Member by the Company (which may be an IRS Form W-9), certifying, under penalty of perjury, that the Member (or Member's Owner, if applicable) is not a foreign person, nonresident alien, foreign corporation, foreign partnership, foreign trust, or foreign estate (as such terms are defined

under the Code and applicable United States Treasury Regulations, including for purposes of Code Section 1445 and 1446) and the Member's (or Member's Owner's, if applicable) United States taxpayer identification number, or (2) if the transferring Member (which term for purposes of this Section 13.8(d) shall include any economic assignee who has not been admitted as a Member) who proposes to Transfer its Units in the Company (or if such Member is a disregarded entity for U.S. federal income tax purposes, the Member's Owner) is not a "United States person" as defined in Section 7701(a)(30) of the Code, then such transferring Member and transferee shall jointly provide to the Company written proof reasonably satisfactory to the Manager that any applicable withholding tax that may be imposed on such Transfer (including pursuant to Sections 864 and 1446 of the Code) and any related tax returns or forms that are required to be filed, have been, or will be, timely paid and filed, as applicable.

ARTICLE XIV

DISSOLUTION, LIQUIDATION AND TERMINATION

Section 14.1. Dissolving Events. The Company shall be dissolved and its affairs wound up in the manner hereinafter provided upon the happening of any of the following events (each, a "**Dissolution Event**"):

(A) Subject to Section 5.2, the Manager and the Requisite Members shall vote or agree in writing to dissolve the Company;

(B) any event which under applicable law would cause the dissolution of the Company (other than a vote of the Manager and Requisite Members which is addressed in subsection (a) above), provided that, unless required by law, the Company shall not be wound up as a result of any such event and the business of the Company shall continue;

(C) the sale, exchange, involuntary conversion, or other disposition or Transfer of all or substantially all the assets of the Company or other Deemed Liquidation Event; or

(D) the entry of a decree of judicial dissolution under Section 702 of the Act.

Notwithstanding the foregoing, the death, resignation, expulsion, bankruptcy or dissolution of any Member or the occurrence of any other event that terminates the continued membership of any Member in the Company under the Act shall not, in and of itself, cause the dissolution of the Company. In such event, the remaining Member(s) shall continue the business of the Company without dissolution.

Section 14.2. Dissolution and Winding-Up. Upon the occurrence of a Dissolution Event, the assets of the Company shall be liquidated or distributed under the direction of and to the extent determined by the Manager and the business of the Company shall be wound up, consistent with provisions of this Article XIV. Within a reasonable time after the effective date of dissolution of the Company, the Company's assets shall be distributed in the following manner and order: (a) to creditors in satisfaction of indebtedness (other than any loans or advances that may have been

made by any of the Members to the Company); (b) to the payment of loans or advances that may have been made by any of the Members to the Company (other than with respect to their Membership Interests); and (c) to the Members under the priority of Section 9.1(c).

Section 14.3. Distributions in Cash or in Kind.

(a) In the event the Company receives securities or other property in connection with the sale, exchange, involuntary conversion, or other disposition or Transfer of all or substantially all the assets of the Company or other Deemed Liquidation Event, the Manager is hereby authorized, as it may reasonably determine, to make Distributions to the Members in the form of such securities or other property held by the Company. In connection with any non-cash Distribution, the securities or property so Distributed will be Distributed among the Members in the same proportion and priority as cash equal to the Fair Market Value of such securities or property would be Distributed among the Members pursuant to Section 14.2 above.

(b) Any Distribution of securities shall be subject to such conditions and restrictions as the Manager determines are required or advisable to ensure compliance with applicable law or conditions of a Deemed Liquidation Event. In furtherance of the foregoing, the Manager may require that the Members execute and deliver such documents as the Manager may deem necessary or appropriate to ensure compliance with all federal and state securities laws that apply to such distribution and any further Transfer of the distributed securities, and may appropriately legend the certificates that represent such securities (or, if not certificated, any other documents deemed relevant by the Manager) to reflect any restriction on Transfer with respect to such laws.

(c) Upon the dissolution of the Company, the Manager shall use all commercially reasonable efforts to liquidate all of the Company's assets, in the Manager's discretion in an orderly manner and apply the proceeds of such liquidation as set forth in Section 14.2.

Section 14.4. Termination. The Company shall terminate when the winding up of the Company's affairs has been completed, all of the assets of the Company have been distributed and the Articles have been cancelled, all in accordance with the Act.

Section 14.5. Claims of the Members. The Members and former Members shall look solely to the Company's assets for the return of their Capital Contributions, and if the assets of the Company remaining after payment of or due provision for all debts, liabilities and obligations of the Company are insufficient to return such Capital Contributions, the Members and former Members shall have no recourse against the Company or any other Member.

ARTICLE XV

MISCELLANEOUS

Section 15.1. Notices. All notices, requests, demands, waivers and other communications required or permitted to be given under this Agreement shall be in writing and shall be deemed to

have been duly given if (a) delivered personally, (b) mailed, certified or registered mail with postage prepaid, (c) sent by next-day or overnight mail or delivery or (d) sent by email, as follows (or to such other address as the party entitled to notice shall hereafter designate in accordance with the terms hereof):

(A) If to the Company or the Manager (which shall constitute notice):

Company:
Penguin Flagship NYC LLC
10 East 16th Street, Apt 6
New York, NY 10003
Attention: Manager
Email: emmet@peoplesny.com

(B) If to a Member, at the address set forth opposite such Member's name on Schedule A as maintained by the Company in its books and records, or at such other address as such Member may hereafter designate by written notice to the Company.

All such notices, requests, demands, waivers and other communications shall be deemed to have been received by (w) if by personal delivery, on the day delivered, (x) if by certified or registered mail, on the fifth Business Day after the mailing thereof, (y) if by next-day or overnight mail or delivery, on the day delivered, or (z) if by email, on the day delivered, provided that such delivery is confirmed.

Section 15.2. Headings. The headings contained in this Agreement are for purposes of convenience only and shall not affect the meaning or interpretation of this Agreement.

Section 15.3. Entire Agreement. This Agreement, together with any subscription agreement and any Side Letters (as defined below), constitutes the entire agreement among the Members with respect to the subject matter hereof, and supersedes any prior agreement or understanding among them with respect to such subject matter (including the Prior LLCA). There are no representations, warranties, promises, inducements, covenants or undertakings relating to the Units, other than those expressly set forth or referred to herein. The Members acknowledge and agree that the Manager may enter into side letters or other agreements with one or more Members ("**Side Letters**") that have the effect of establishing rights under, or altering or supplementing, the terms of this Agreement or any other agreement entered into in connection therewith with respect to such Member(s). The parties hereto agree that any rights established or any terms of this Agreement altered or supplemented in a Side Letter with a Member shall govern solely with respect to that Member notwithstanding any other provision of this Agreement.

Section 15.4. Counterparts. This Agreement may be executed in several counterparts, each of which shall be deemed an original and all of which shall together constitute one and the same instrument. Delivery of an executed counterpart of a signature page to this Agreement by email or other means of electronic transmission shall be as effective as delivery of a manually executed counterpart of this Agreement.

Section 15.5. Governing Law; Attorneys' Fees. This Agreement shall be governed in all respects, including as to validity, interpretation and effect, by the internal laws of the State of New York, without giving effect to the conflict of laws rules thereof.

Section 15.6. Waiver of Jury Trial. EACH MEMBER HEREBY WAIVES THE RIGHT TO TRIAL BY JURY IN ANY ACTION OR PROCEEDING BASED UPON, ARISING OUT OF OR IN ANY WAY CONNECTED WITH THIS AGREEMENT, OR THE BREACH, TERMINATION OR VALIDITY OF THIS AGREEMENT, OR THE TRANSACTIONS CONTEMPLATED HEREBY.

Section 15.7. Waiver Generally. Waiver by any Member hereto of any breach or default by any other Member of any of the terms of this Agreement shall not operate as a waiver of any other breach or default, whether similar to or different from the breach or default waived. No waiver of any provision of this Agreement shall be implied from any course of dealing between the Members hereto or from any failure by any Member to assert its or his or her rights hereunder on any occasion or series of occasions.

Section 15.8. Severability. If any provision of this Agreement is inoperative or unenforceable for any reason, such circumstances shall not have the effect of rendering the provision in question inoperative or unenforceable in any other case or circumstance, or of rendering any other provision or provisions herein contained invalid, inoperative, or unenforceable to any extent whatsoever, so long as this Agreement, taken as a whole, still expresses the material intent of the parties hereto. The invalidity of any one or more phrases, sentences, clauses, Sections or subsections of this Agreement shall not affect the remaining portions of this Agreement.

Section 15.9. Further Actions. Each Member shall execute and deliver such other certificates, agreements and documents, and take such other actions, as may reasonably be requested by the Company in connection with the continuation of the Company and the achievement of its purposes, including, without limitation, (a) any documents that the Company deems necessary or appropriate to continue the Company as a limited liability company in all jurisdictions in which the Company conducts or plans to conduct business and (b) all such agreements, certificates, tax statements and other documents as may be required to be filed in respect of the Company.

Section 15.10. Amendments. This Agreement (including this Section 15.10) may not be amended, modified or supplemented except by a written instrument signed by the Requisite Members; provided, however, no amendment, modification or supplement shall materially adversely affect either (a) a particular Member (and no other Members) on a discriminatory basis without such Member's consent or (b) the Members as a class without the consent of a majority of the class of Members so affected acting as a single class; provided, further, that subject to obtaining any other consents expressly required by other Sections of this Agreement, the Manager may, without the consent of the Requisite Members pursuant to this Section 15.10, make such modifications to this Agreement, including Schedule A, as are necessary to (i) issue additional Units or classes of Units or to admit Additional Members or make such other changes to Schedule A as are required by this Agreement and (ii) modify provisions of this Agreement at the reasonable

request of any Member holding Class B Units in connection with such Member's admittance to the Company, so long as such modifications are materially favorable to the holders of Class B Units as a class.

Section 15.11. Fees and Expenses. The Company shall assume (as applicable) and pay all legal, formation, transaction and related expenses incurred by the Company (including all such expenses incurred by the Manager on behalf of the Company). All other fees and expenses incurred by any Member in connection with its investment in the Company (including in connection with such Member's negotiation of this Agreement) shall be borne by the respective Member incurring such expenses.

Section 15.12. No Third-Party Beneficiaries. Except as otherwise provided herein, this Agreement is not intended to confer upon any Person, except for the parties hereto, any rights or remedies hereunder.

Section 15.13. Injunctive Relief. The Units cannot readily be purchased or sold in the open market, and for that reason, among others, the Company and the Members may be irreparably damaged in the event this Agreement is not specifically enforced. Each of the Members therefore agrees that, in the event of a breach of any provision of this Agreement, the aggrieved party may elect to institute and prosecute proceedings in any court of competent jurisdiction to enforce specific performance or to enjoin the continuing breach of this Agreement. Such remedies shall, however, be cumulative and not exclusive, and shall be in addition to any other remedy which the Company or any Member may have. Each Member hereby irrevocably submits to the non-exclusive jurisdiction of the state and federal courts in New York for the purposes of any suit, action or other proceeding arising out of, or based upon, this Agreement or the subject matter hereof. Each Member hereby consents to service of process made in accordance with this Section 15.13.

[*Signature Page Follows*]